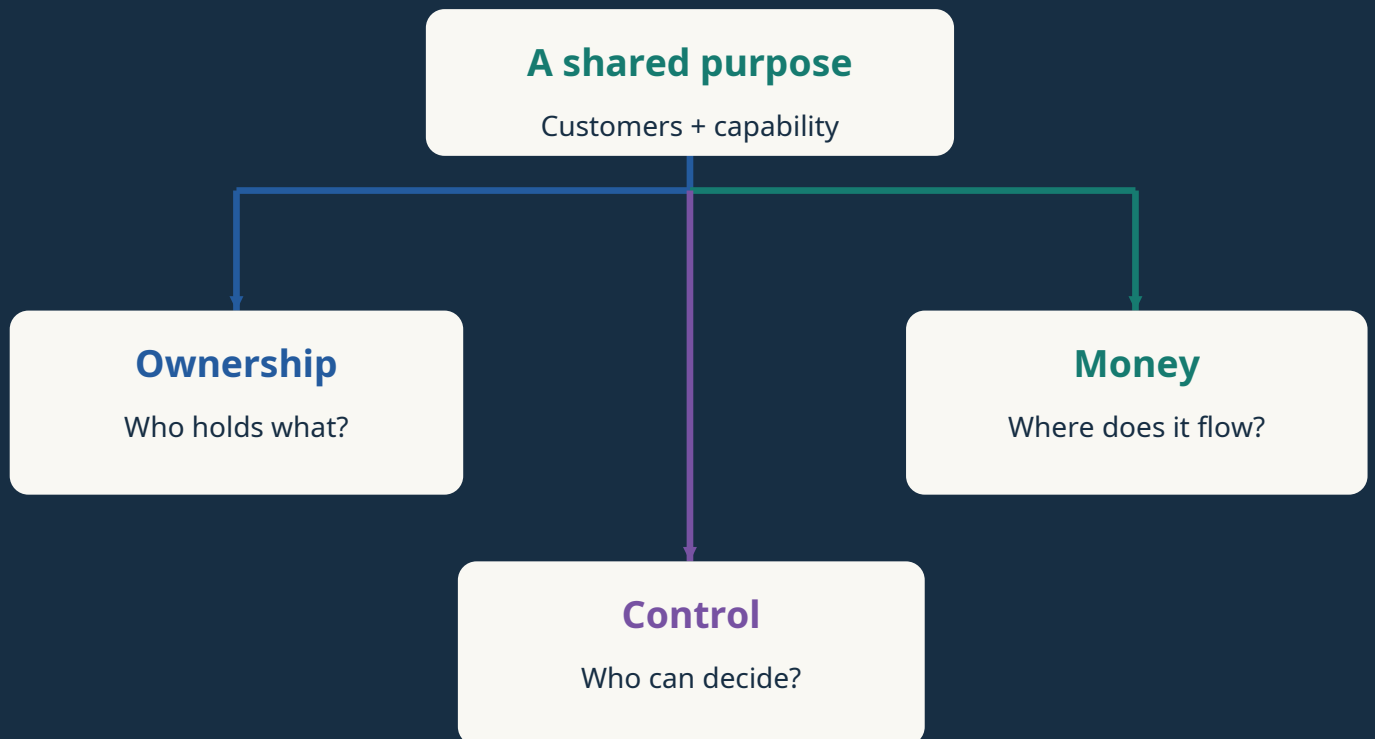


How Indian Business Groups Work

Ownership. Money. Control. Expansion.

From one useful business to a portfolio of companies



36 illustrated pages • Indian context
With Adani and Murdoch case studies

YOUR ROUTE THROUGH THE GUIDE

Follow three different maps

Read from the beginning if these ideas are new. Later, use the clickable chapter entries and bookmarks to return to a specific question. No finance background is assumed.

01	Foundations	3-7
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02	From one company to a group	8-12
	HoldCos, subsidiaries, acquisitions and partners	
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—— **Ownership**
who holds shares

—— **Money**
cash movement

—— **Control**
decision rights

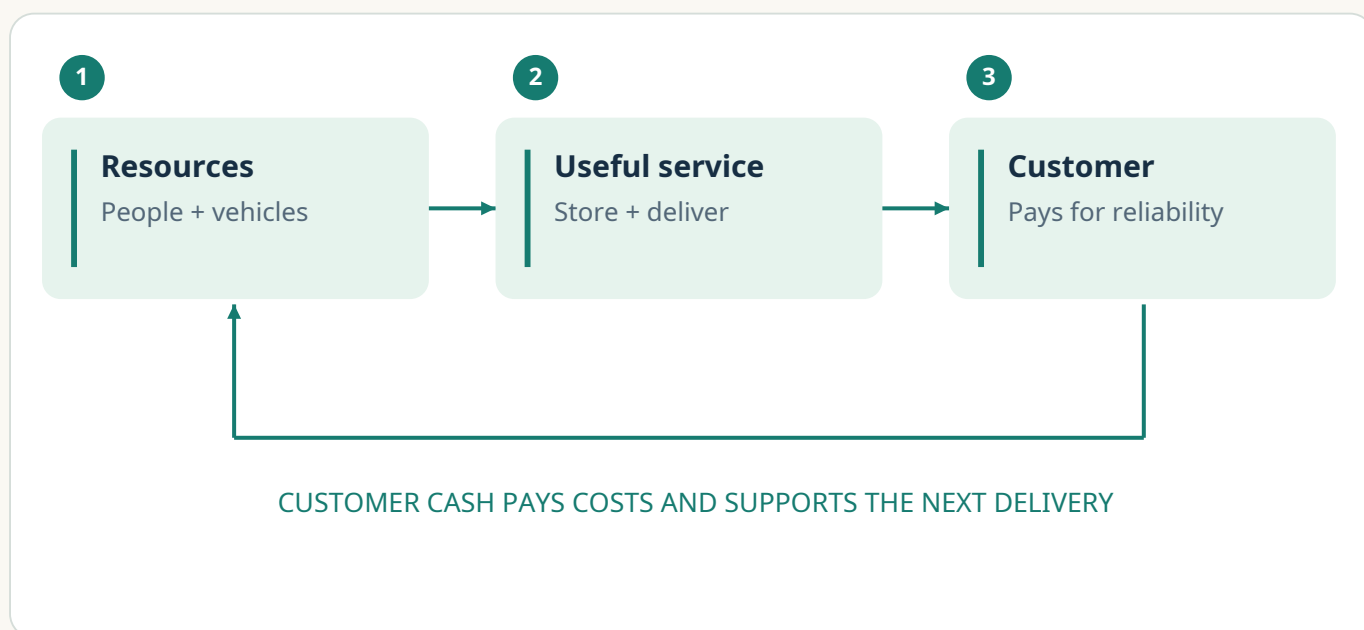
..... **Conditions**
risk or constraint

Read arrow labels first. Fills also help group related diagram elements.

Asha and her businesses are fictional. Numerical examples are independent teaching scenarios unless explicitly connected. ₹1 lakh = ₹100,000; ₹1 crore = ₹10 million = 100 lakh.

Start with one real business

Asha starts a logistics company that stores and delivers goods. Before she can build a group, this first business needs customers who pay more than it costs to serve them.



01 / A business turns useful resources into a service, then collects payment. Fictional example throughout.

What is being capitalised on?

A customer has a problem: goods must reach shops reliably. Asha combines a warehouse, delivery vehicles, software and people to solve it. The opportunity is the gap between what customers will pay and the full cost of providing the service. A large market alone does not guarantee a profitable business.

The company is a separate person

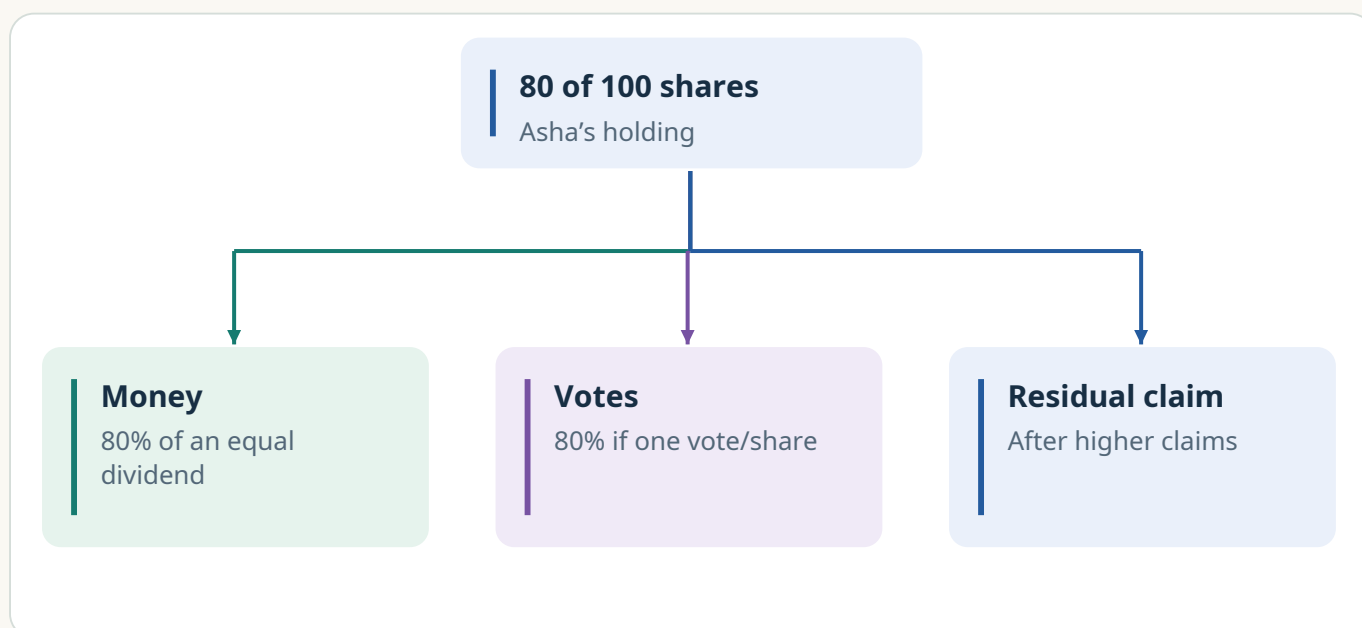
A company is a legal organisation that can own property, sign contracts and owe money. Asha owns shares in Asha Logistics Pvt Ltd. The company owns its vehicles and bank balance. This distinction matters even when one founder effectively makes all the decisions. "My business" does not mean every rupee in its account is personal spending money.

Start with a paying customer. A company structure organises the business that serves that customer.

Sources: [1] | Details and links on pp. 35-36.

A share is a bundle of rights

A share is a unit of ownership in a company. It can carry rights to distributions, votes and a residual claim if the company closes. Those rights depend on the share terms and law.



02 / Same company, three questions. A percentage is meaningful only when its denominator is clear.

Economics: what can I receive?

If Asha owns 80 of 100 identical ordinary shares, she has 80% of those shares. If the company lawfully distributes ₹10 lakh equally per share, her portion is ₹8 lakh. A dividend is a distribution to shareholders; it is not an automatic right to withdraw 80% of every sale or every bank deposit.

Votes: what can I decide?

With one vote per share, those 80 shares ordinarily carry 80 of 100 votes. A different share class may have different voting rights. Even a majority owner operates through company procedures, directors and legal duties. On closure, shareholders receive only what remains after liabilities and higher-ranking claims have been addressed.

Always ask: percentage of shares, percentage of votes, or percentage of a declared distribution?

Sources: [1] | Details and links on pp. 35-36.

Profit is not a pile of cash

A company can show a profit while struggling to pay tomorrow's bills. Profit measures performance under accounting rules. Cash records money actually received and paid.

ACCOUNTING STORY		CASH STORY	
Sales earned	₹10 lakh	Cash collected	₹6 lakh
Costs incurred	– ₹7 lakh	Costs paid	– ₹7 lakh
Profit	₹3 lakh	Funding gap	₹1 lakh

₹4 lakh is still owed by customers

03 / A deliberately simplified month; opening cash is zero and all costs shown are paid. Tax and depreciation omitted.

Read the two stories together

Asha delivers services worth ₹10 lakh and incurs ₹7 lakh of costs. Her simplified profit is ₹3 lakh. But customers have paid only ₹6 lakh. The remaining ₹4 lakh is a receivable: money customers owe. After paying ₹7 lakh, the company needs ₹1 lakh of additional funding to bridge the timing gap.

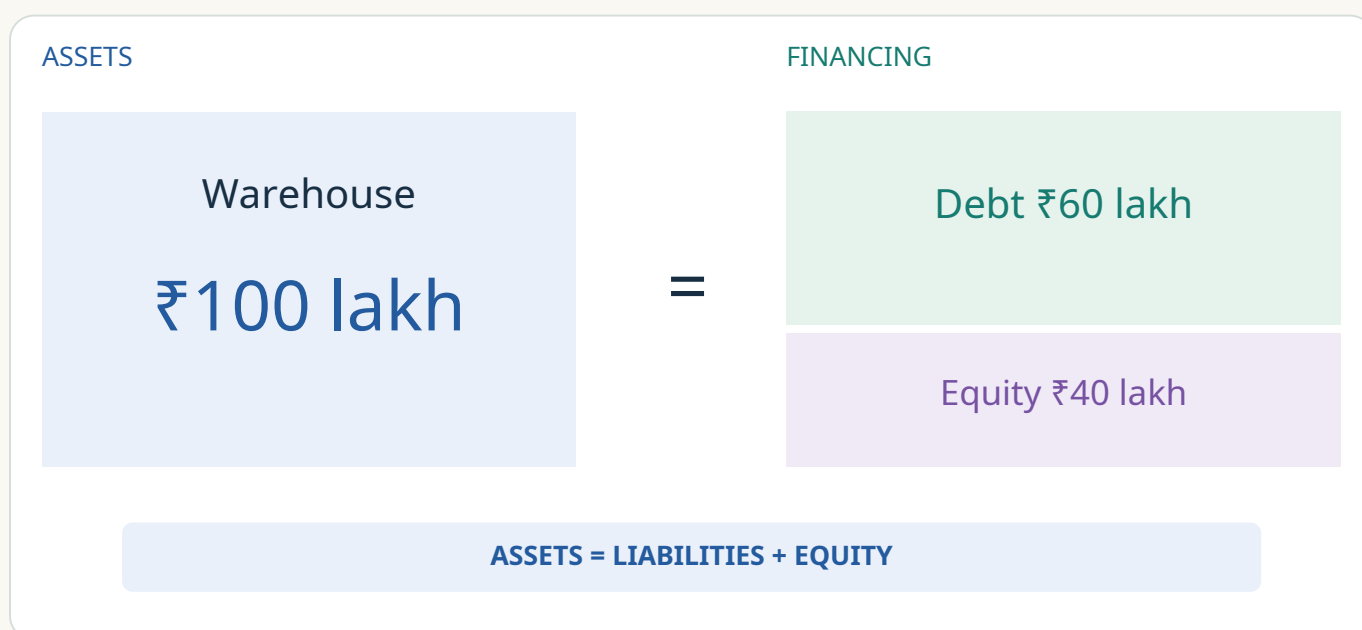
Why growing businesses need money

More orders can mean more wages, inventory and unpaid invoices before customer cash arrives. This is working capital: resources tied up in day-to-day operations. Buying a long-lived machine is another cash outflow, but its accounting cost is usually spread over time as depreciation. A loan increases cash and debt; the borrowing itself is not revenue.

Follow both the profit statement and the cash account. Growth can consume cash before it creates cash.

Who funds the assets?

An asset is something the company controls that can provide future benefits. A liability is an obligation it owes. Equity is the owners' residual accounting interest after liabilities.



04 / One opening balance sheet: ₹100 lakh of assets = ₹60 lakh of debt + ₹40 lakh of equity.

Debt and equity do different jobs

A bank lends ₹60 lakh and Asha contributes ₹40 lakh as equity. The company buys a ₹100 lakh warehouse asset. The bank expects the agreed interest and principal repayment. Principal means the amount borrowed. Ordinary shareholders take more uncertainty: there is no promise that their original investment or any dividend will be returned.

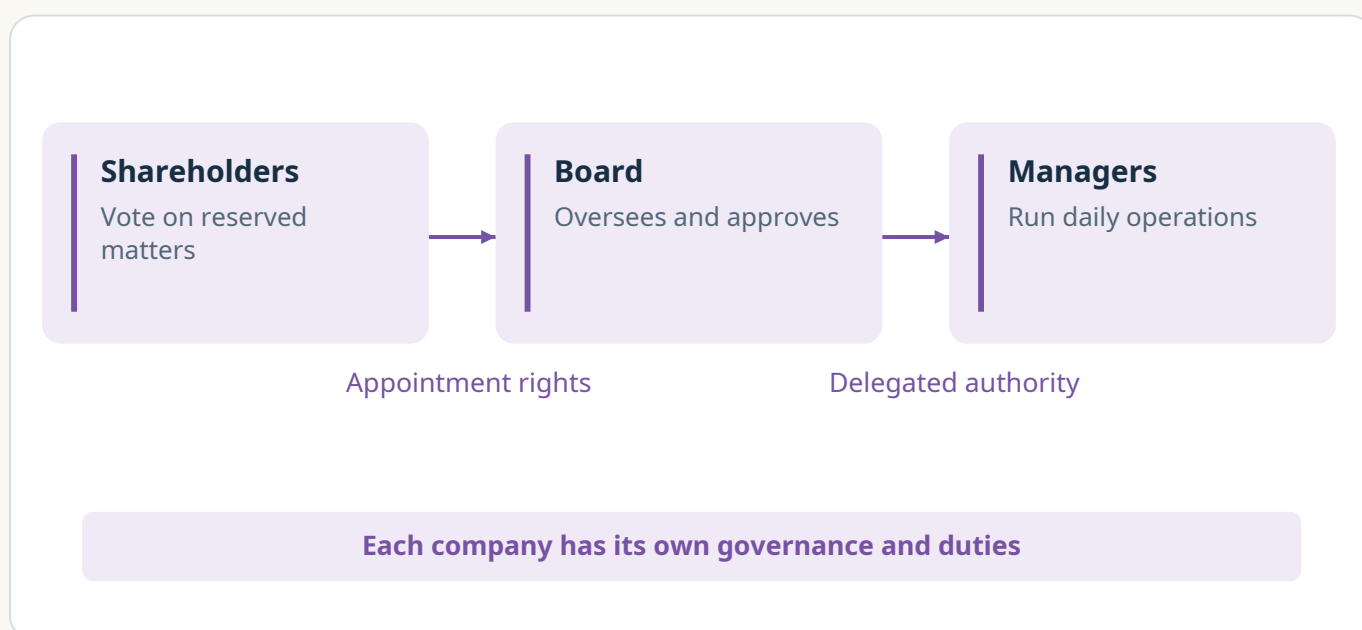
Book value is not market value

The balance sheet records assets and obligations using accounting rules. A buyer may value the shares differently because of future earnings, risk or hidden problems. Market capitalisation is share price multiplied by shares outstanding. It is a valuation of equity, not cash available in the company's account, and not the total value of its assets.

The same warehouse can be financed in different ways. The repayment obligations change the risk.

Who actually makes a decision?

A shareholder, a director and a manager can be the same person wearing different hats. Their roles are still different. Voting power normally influences governance through a chain of decisions.



05 / A simplified governance chain. Actual powers and approval thresholds come from law and company documents.

Ownership does not do the daily work

Shareholders vote on matters reserved for them, including many director appointments. The board oversees the company and approves major choices within its powers. Managers turn those choices into hiring, purchasing and daily operations. A large shareholder's influence over the board can be powerful without making every operational instruction a shareholder vote.

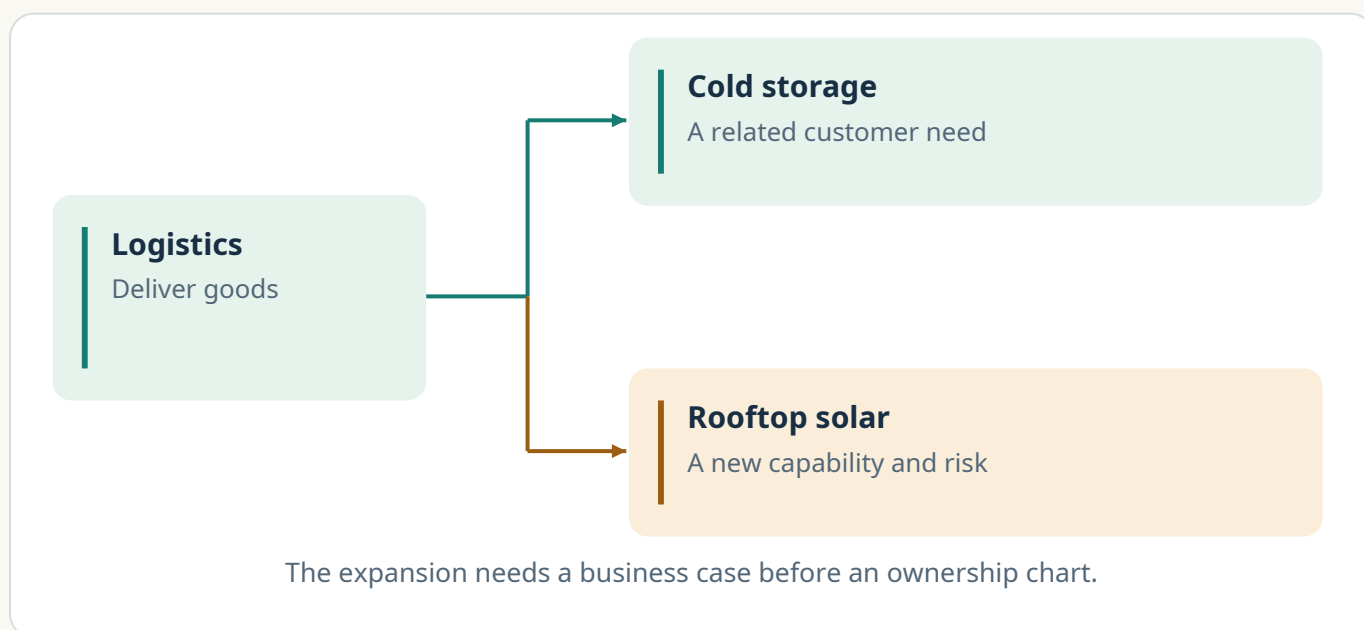
A majority is not a universal key

Some decisions need a higher voting threshold, a separate class vote, investor consent or regulatory approval. Directors owe duties to the company; they cannot simply transfer its value to a controlling family. As a group grows, each subsidiary also has its own board and obligations. Draw the decision path before assuming who can order what.

Separate the owner's vote, the board's authority and the manager's job.

Add a business for a reason

Asha's delivery business is working. She sees demand for cold storage and rooftop solar at warehouses. Each expansion needs its own customer case, people, funding and expected return.



06 / The operating footprint expands. These are business activities first; legal entity choices come next.

Why related businesses can help

A logistics customer may also need storage. Existing sales relationships, land, maintenance teams or software can make the new service cheaper to build. These benefits are called synergies. They must be tested: shared branding alone does not make two businesses fit, and a customer of one service may not want the other.

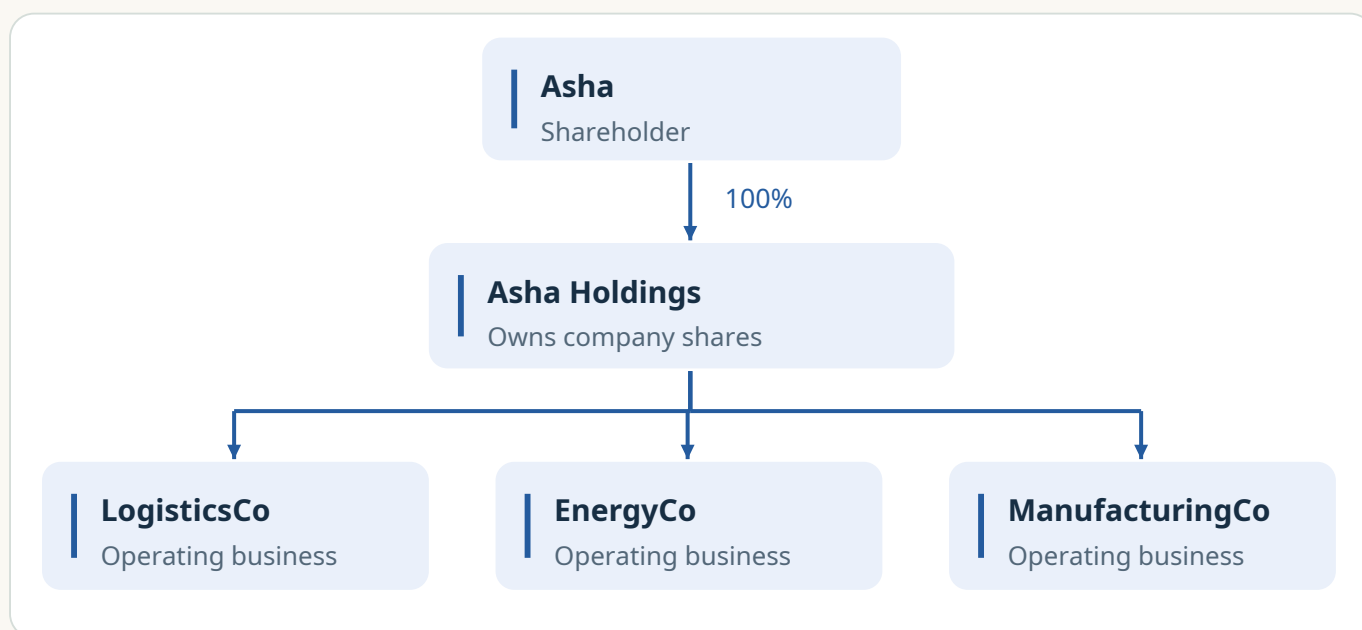
Why unrelated businesses are harder

A profitable warehouse does not automatically give Asha skill in manufacturing solar panels. A new sector may have different technology, prices, competitors and permissions. Diversification spreads exposure only when the risks really differ. If every business depends on cheap borrowing or the same large customer, the group can still be fragile.

For each new business, name the customer, the advantage, the cash requirement and the reason to stop.

What a holding company does

A holding company, or HoldCo, owns stakes in other companies. An operating company, or OpCo, carries out a business. A company can also combine both roles.



07 / Arrows mean share ownership. The fictional structure is a teaching model, not a recommended incorporation sequence.

One place for several investments

Asha can hold her group interests through Asha Holdings Pvt Ltd. That company may own LogisticsCo, EnergyCo and ManufacturingCo. Its assets include those shareholdings. It might receive dividends, sell a stake or provide approved funding. Staff and customer contracts usually sit in the relevant operating company, according to the actual arrangements.

An extra company has a price

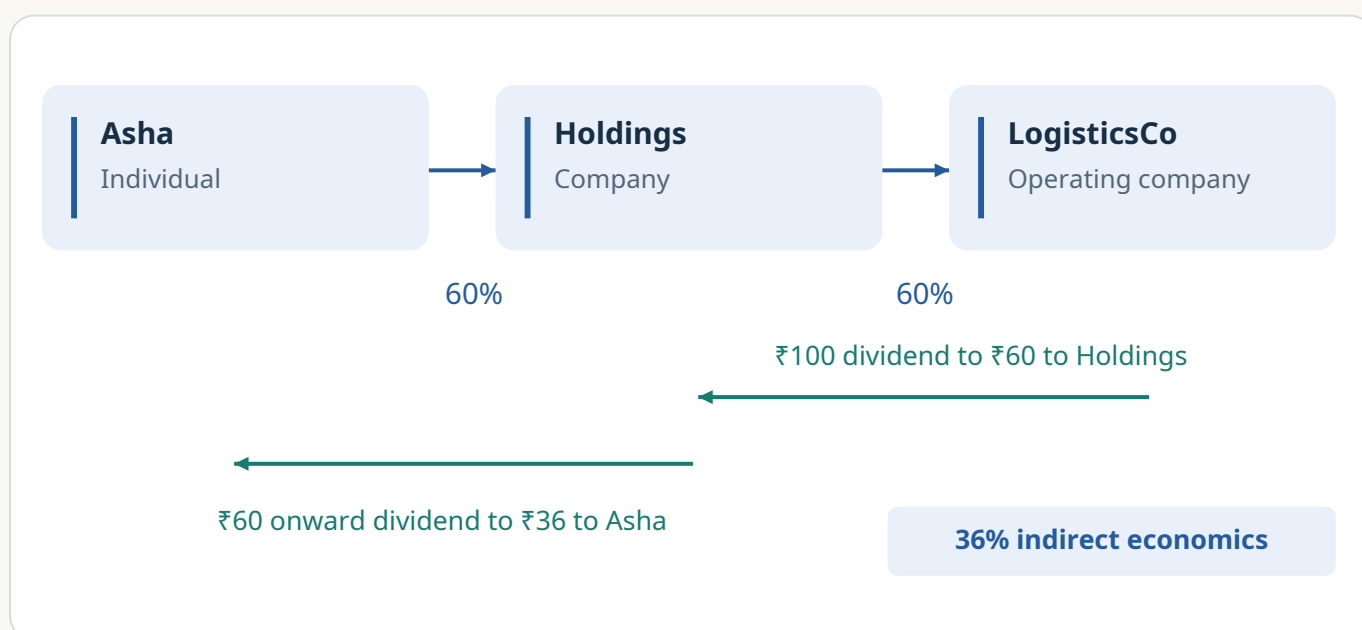
A HoldCo can simplify ownership and capital allocation, but adds accounts, filings, tax analysis and governance. Moving existing shares into it is a real transaction, potentially involving valuation, taxes, consent and reporting. The diagram shows the destination structure; it does not make that reorganisation free or automatic.

A HoldCo collects ownership in one place. It does not automatically collect every subsidiary's cash.

Sources: [1] [9] | Details and links on pp. 35-36.

Trace ownership through the chain

Direct ownership is the shareholding at one link. Indirect economic exposure passes through multiple links. Multiplying percentages helps explain the economics, but does not by itself decide legal control.



08 / Equal economic rights assumed. Asha's illustrative indirect equity interest is $60\% \times 60\% = 36\%$.

Follow a ₹100 distribution

Asha owns 60% of Holdings, and Holdings owns 60% of LogisticsCo. If LogisticsCo pays a ₹100 dividend, Holdings receives ₹60. If Holdings then distributes all of that ₹60 on the same basis, Asha receives ₹36. The other shareholders receive their portions at their respective levels. Taxes, expenses and retained cash would change the onward amount.

Control follows a different test

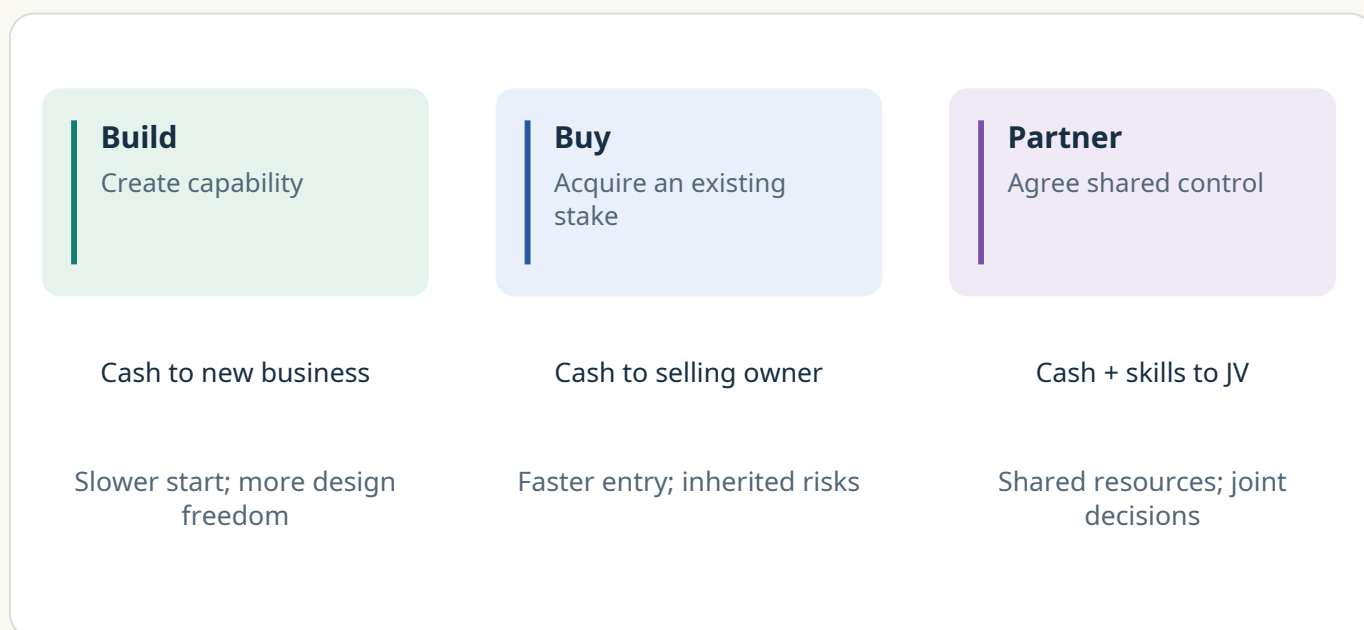
Asha may have an ordinary voting majority in Holdings, which may have one in LogisticsCo. That can create a chain of control despite a 36% indirect economic interest. Board rights, agreements and special approvals still matter. Asha does not personally hold 60% of the bottom company's shares merely because she influences the shareholder above it.

Multiply the ownership percentages for a simple economic illustration; inspect the rights for control.

Sources: [1] | Details and links on pp. 35-36.

Build, buy, or partner?

A group can create a new business, acquire an existing one, or work with a partner. These choices affect speed, cost, expertise and how much decision-making power the group keeps.



09 / Three expansion routes. Buying existing shares usually pays the seller; subscribing for new shares funds the company.

Buying creates a different money path

If Holdings buys 70% of an existing cold-storage company from its founder, the purchase price goes to that selling founder. The business does not automatically receive fresh growth money. A separate investment may be needed. The buyer must examine existing debts, contracts, litigation, permissions and maintenance needs as well as the headline purchase price.

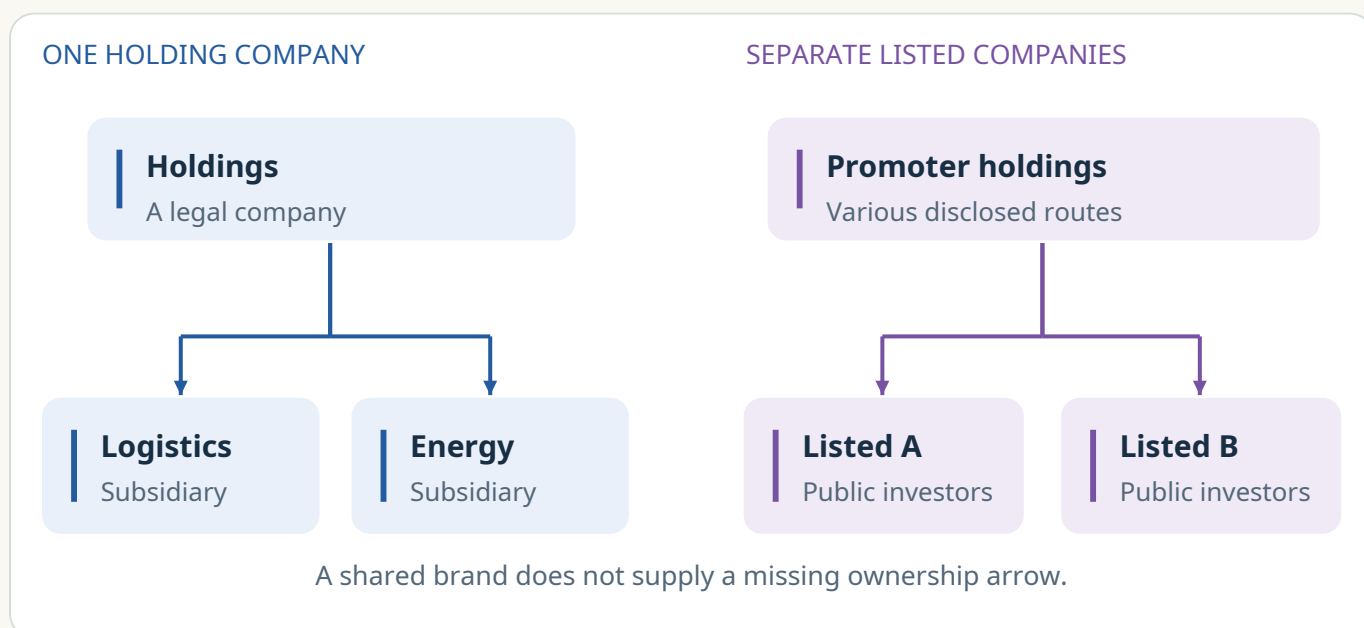
A partner adds skills and constraints

A joint venture is an arrangement where partners share control as agreed; 50:50 ownership is common but not required. Asha might provide sites and customers while a partner provides technology and funding. The agreement must address budgets, future funding, disagreements and exit. A nominally equal split can deadlock if no one can resolve a crucial decision.

Choose the route that supplies the missing capability, then trace who receives the money.

One brand, several legal structures

A business group is a collection of connected entities. A shared family, brand or strategy does not mean that every company sits beneath one universal parent company.



10 / Two simplified arrangements. A portfolio label groups companies visually; it is not itself an ownership entity.

A parent-and-subsidary group

In the left model, Holdings owns the operating companies. An investor buying Holdings gets exposure to the portfolio through that company, subject to its debts and minority interests. An investor buying only EnergyCo shares has rights in EnergyCo. A sister company's profits do not become theirs just because both use the same group name.

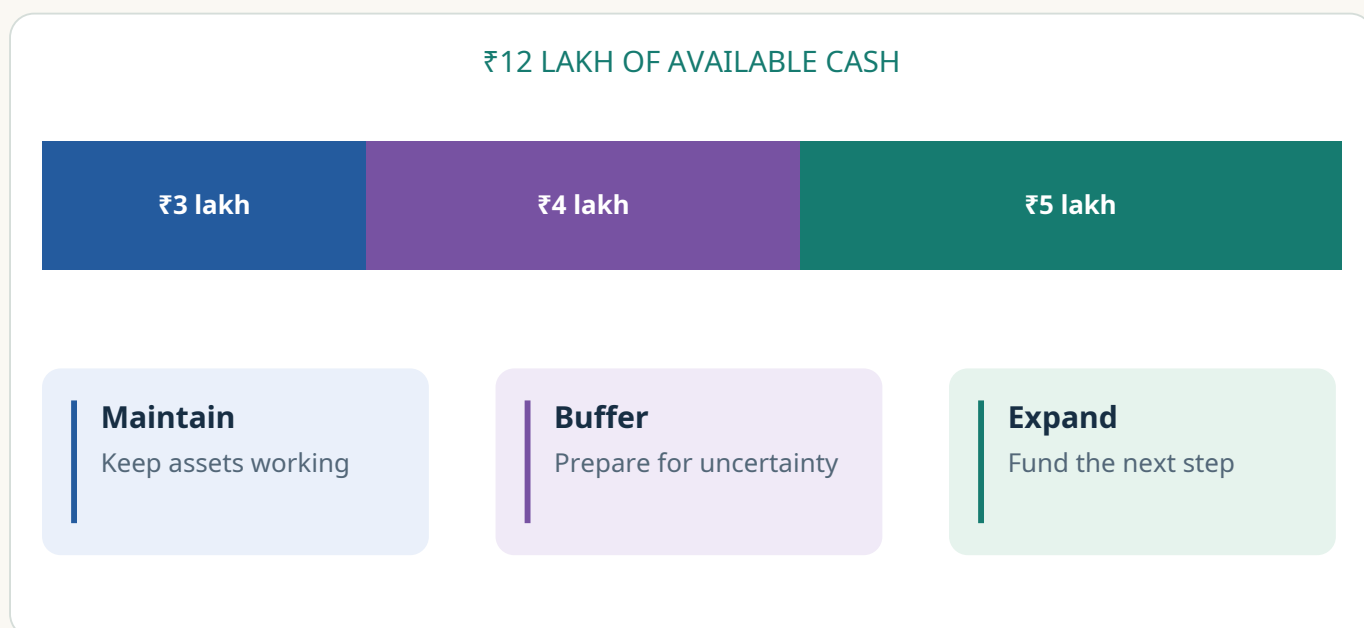
A portfolio with separate listings

In the right model, promoters hold stakes in several listed companies through different disclosed routes. Each listed company has its own public shareholders and may have subsidiaries of its own. A demerger can separate a business into another entity under an approved scheme. A spin-out or listing can change where investors hold their interests.

Before studying a group, find the exact legal company you are looking at and its direct shareholders.

The first fuel is retained earnings

Retained earnings are accumulated profits not distributed to shareholders. They are an accounting balance, not a separate cash box. Reinvestment still requires available cash.



11 / Fictional annual allocation: ₹12 lakh of available cash divided among maintenance, reserves and expansion.

A cash decision, not just a profit figure

Suppose LogisticsCo has ₹12 lakh available after operating payments, taxes and debt service. It sets aside ₹3 lakh for essential equipment work, ₹4 lakh for a cash buffer and ₹5 lakh for a small expansion. This allocation only works if the money is actually available and restrictions allow it. Accumulated profits may already be invested in assets or receivables.

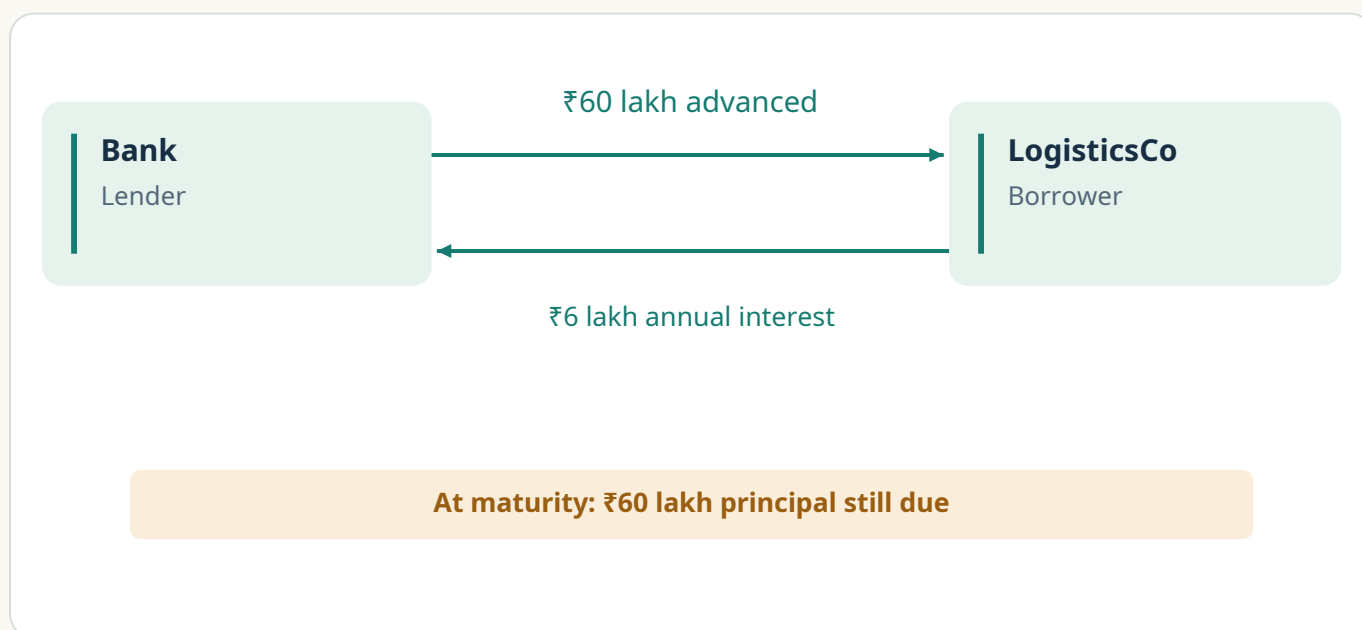
Keeping money has an opportunity cost

Shareholders could have received a distribution, if permitted, and invested elsewhere. Management must therefore explain why retaining the money is likely to create enough value for the risk. Ask what additional cash the expansion should generate, when it should arrive and what happens if demand is weaker than expected.

Retaining earnings avoids a new investor or lender, but the capital still needs to earn its keep.

A loan buys time, with conditions

Debt lets a business use money now and repay it later. The lender normally receives a contractual return and protections. Borrowing leaves ordinary share ownership unchanged unless conversion or enforcement changes it.



12 / Simplified one-year, interest-only example: ₹60 lakh principal at 10%; all principal is due at year-end.

Read beyond the interest rate

A ₹60 lakh loan at 10% creates ₹6 lakh of annual interest in this simplified example. The ₹60 lakh principal remains due. A real facility may repay principal in instalments and charge fees. Security gives the lender rights over specified assets if obligations are breached. A covenant is a promise, such as a limit on additional debt or dividends.

Match the repayment to the business

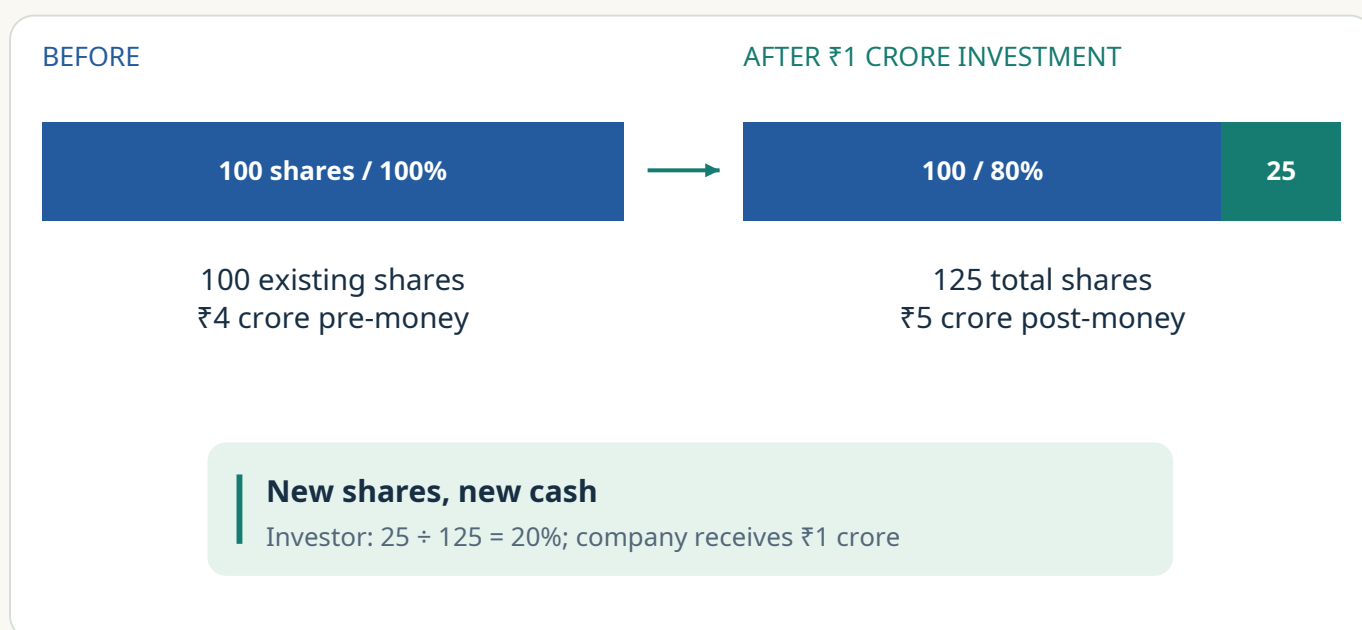
An asset may last twenty years while its loan matures in three. The company then needs cash to repay or a lender willing to refinance. Refinancing means replacing an old borrowing with a new one. It is uncertain. Even valuable assets may not produce enough spendable cash at the exact moment a repayment falls due.

Ask both "Can this business pay the interest?" and "Where will principal repayment come from?"

03 / FUNDING GROWTH

An investor changes the denominator

Equity funding creates ownership claims instead of a fixed loan repayment. When a company issues new shares, existing shareholders can keep the same number of shares but own a smaller percentage.



13 / Fictional priced round with identical share rights, no fees, no options and no other securities.

Work through the new shares

Holdings owns all 100 shares of TechCo. Investor and company agree a ₹4 crore pre-money value: the equity value before new cash. The investor pays ₹1 crore for 25 newly issued shares at ₹4 lakh each. There are now 125 shares. Holdings owns 80%; the investor owns 20%. The post-money value is ₹5 crore.

What dilution really means

Dilution is the reduction in percentage ownership when the denominator grows. The company receives the ₹1 crore. Under the agreed pricing, Holdings' 80% is still worth ₹4 crore immediately after the round; no value creation is guaranteed. Later performance, further funding and negotiated rights can change the outcome. The financing may be worthwhile if it enables sufficiently valuable growth.

$100 \div 125 = 80\%$. A smaller percentage can accompany more capital, but success still has to be earned.

A project can have its own company

A special-purpose vehicle, or SPV, is an entity created for a defined purpose. A solar project might keep its construction contracts, permits, borrowing and customer payments inside one project company.



14 / Fictional ₹100 crore solar project. The ₹30 crore/₹70 crore split is an illustration, not a financing benchmark.

Why a lender examines the project

EnergyCo contributes ₹30 crore of equity and project lenders provide ₹70 crore. The SPV pays to build the plant. Lenders assess expected output, the customer's ability to pay, construction risk, insurance, permissions and the contract to sell electricity. That sales contract may be called an offtake agreement. Forecast revenue alone is not reliable repayment capacity.

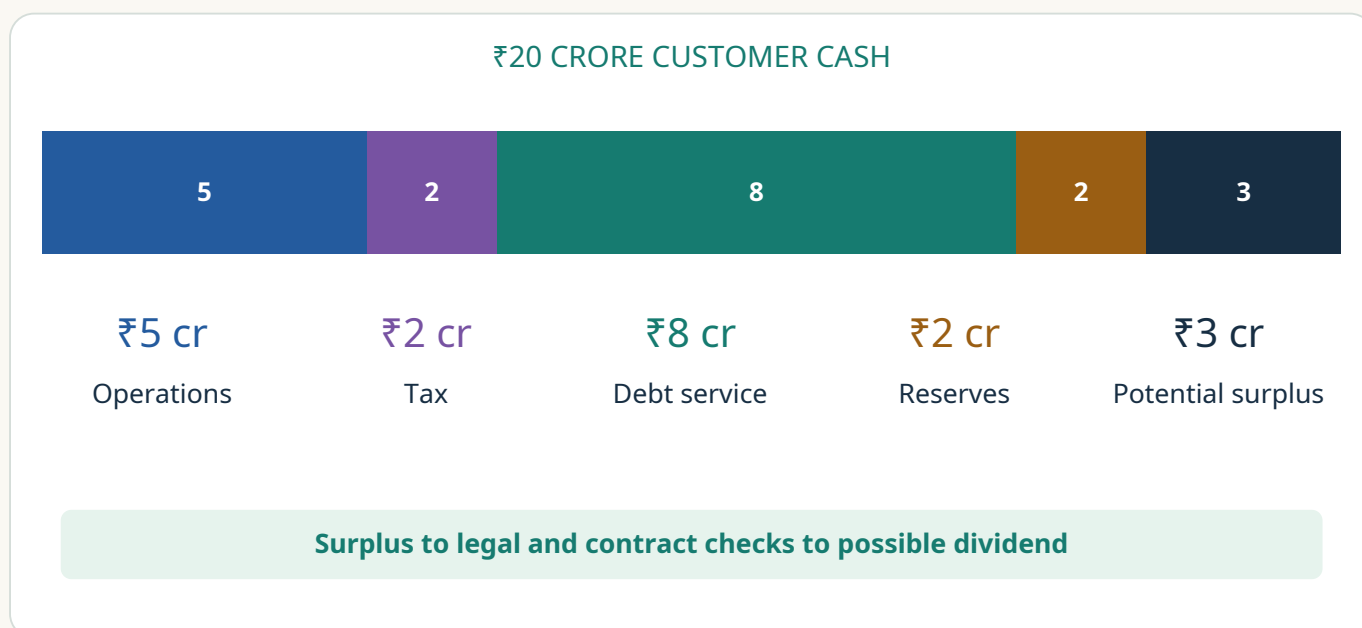
Separation depends on the contracts

Project finance relies heavily on project cash flows and security. It may involve limited recourse to the sponsor, meaning lenders have only specified claims outside the project. Completion support, guarantees or other promises can enlarge those claims. An SPV does not automatically make the parent immune if construction fails or costs rise.

A project company organises contracts and funding around an asset; the contracts determine who bears failure.

Follow a rupee all the way back

Customers pay the operating business. That cash first meets its obligations. Only money available for a lawful distribution can travel upward to shareholders, and each level makes a separate decision.



15 / Illustrative annual project cash allocation; actual payment priority and reserve rules depend on the financing contracts.

The upward path has gates

The solar SPV collects ₹20 crore. Assume ₹5 crore operating payments, ₹2 crore tax, ₹8 crore debt service and ₹2 crore required reserves. That leaves ₹3 crore potentially available, before checking dividend law and financing restrictions. Debt service includes interest and scheduled principal. Being profitable does not itself permit a dividend.

The group cannot treat cash as one pot

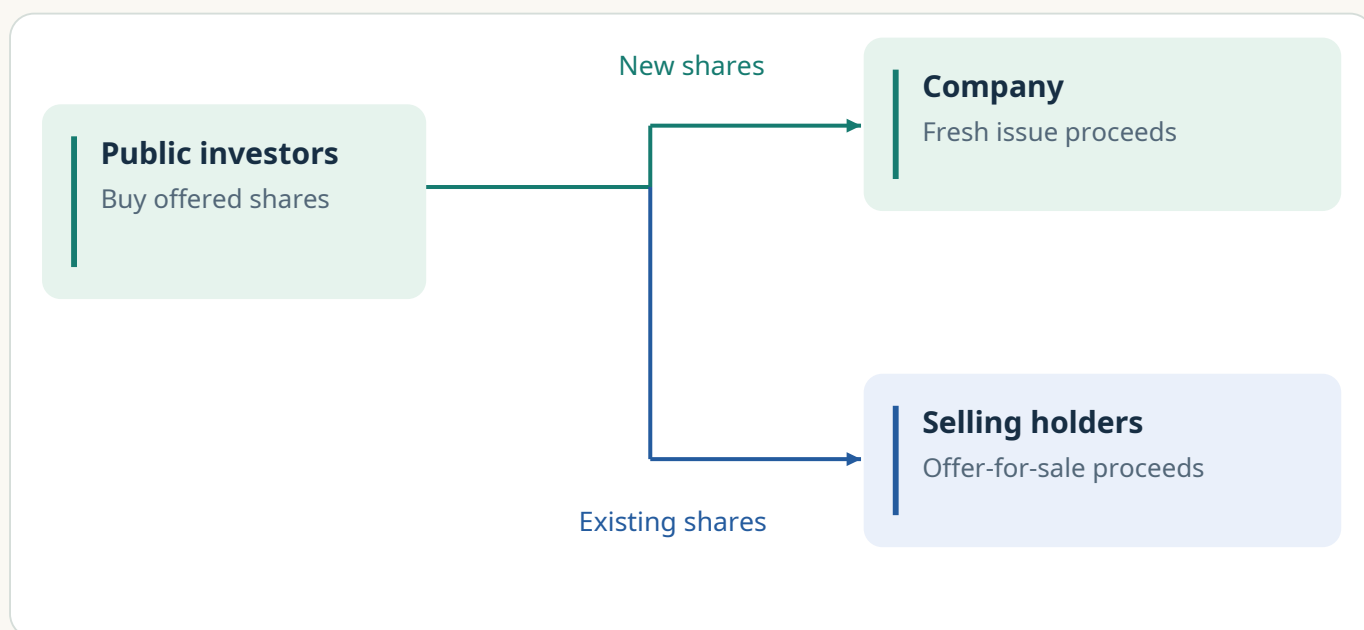
A dividend follows share rights. A loan must be documented and meet applicable approvals and limits. A service fee needs a real service and a defensible arrangement. Holdings might reinvest an allowed receipt into ManufacturingCo, but each transfer has a purpose and consequences. Consolidated accounts combine results for reporting; they do not merge the bank accounts.

A cash-flow arrow needs a label: dividend, loan, investment, sale proceeds, or payment for a real service.

Sources: [1] [8] | Details and links on pp. 35-36.

An IPO has two different cash paths

An initial public offering, or IPO, offers shares to public investors and can lead to a stock-exchange listing. The company may issue new shares, existing owners may sell shares, or both may happen.



16 / Fresh issue versus offer for sale. Subsequent exchange trades normally transfer cash between investors.

New shares can fund the business

In a fresh issue, investors' subscription money goes to the company, after applicable issue costs. It can fund the disclosed purposes, such as investment or debt repayment. Existing owners are diluted if new shares increase the total. In an offer for sale, selling shareholders receive the proceeds; that portion does not itself provide new cash to the company.

Listing creates ongoing obligations

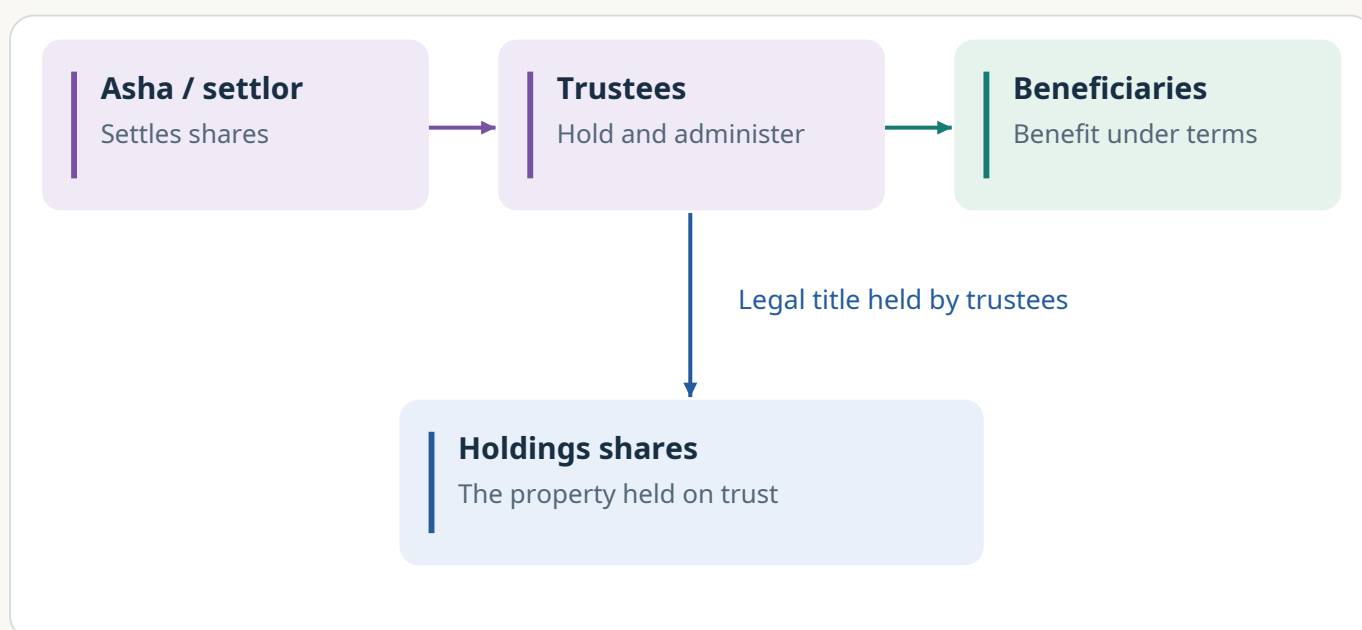
Public investors need information and governance protections. Listing brings reporting, disclosure, board and transaction requirements. A quoted share price can make ownership easier to trade, but market liquidity is not guaranteed. A ₹10,000 crore market capitalisation does not mean the company received ₹10,000 crore at IPO or can spend that amount today.

Distinguish money raised by the company from money received by shareholders selling their shares.

Sources: [7] [8] | Details and links on pp. 35-36.

A trust separates legal roles

A private family trust is an arrangement for holding property for beneficiaries under specified obligations. In India, the trustee holds the trust property; the trust is not simply another company.



17 / The asset held on trust is shares in Holdings. The operating companies still own their own assets.

Meet the people in the arrangement

The settlor creates the trust and transfers property into the arrangement. The trustee accepts responsibility for holding and administering that property under the trust terms and law. Beneficiaries are the people for whose benefit it is held. These roles can overlap where legally permitted, but a beneficiary is not automatically the person entitled to exercise every shareholder vote.

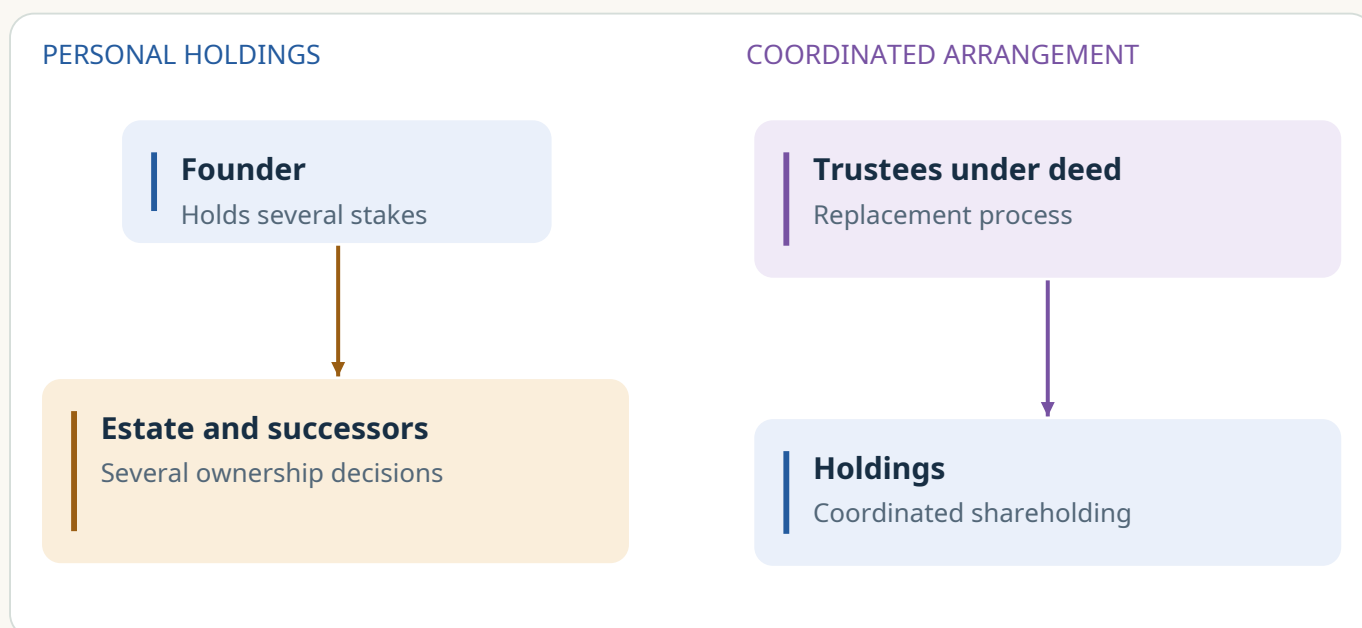
What the trust deed can organise

The trust deed records the arrangement: purposes, beneficiaries, powers and how administration continues. In Asha's example, trustees hold shares in Holdings for family beneficiaries. The deed, company documents and applicable law must work together. Calling something a family trust does not automatically make it revocable, tax-free, permanent, confidential or immune from dispute.

Ask three questions: who holds the shares, who may decide, and who may benefit?

Plan for the founder's absence

Succession is the process of continuing ownership and decision-making when someone dies, retires or becomes unable to act. Business leadership and economic inheritance need not pass in identical proportions.



18 / A conceptual before-and-after. A trust is one possible arrangement; wills and company agreements also matter.

Without an agreed process

If Asha personally holds stakes in several businesses, her estate must deal with those interests according to applicable law and valid arrangements. Multiple successors may disagree about dividends, expansion or selling shares. Existing board and management structures can continue, but uncertainty over shareholder decisions may create delays at exactly the wrong time.

Continuity needs people and rules

A properly designed arrangement can provide for replacement trustees, decision procedures, distributions and dispute resolution. It can preserve a coordinated holding while professional managers run businesses. But the successor must have competence and accountability. The design should also explain how an underperforming leader can be replaced and how beneficiaries obtain information.

A succession plan needs a way to replace people and resolve disagreement, not just a family name.

Sources: [2] | Details and links on pp. 35-36.

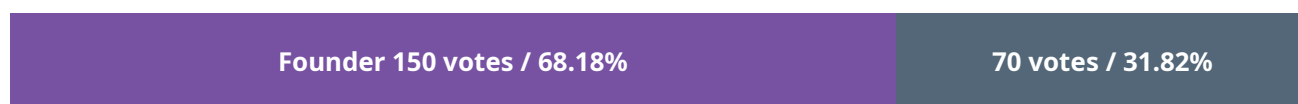
Count the votes, not just shares

Voting rights can differ from economic rights. The arithmetic is straightforward; whether a particular arrangement is permitted is a separate question. India's private and listed company rules differ.

EQUAL ECONOMIC RIGHTS



ILLUSTRATIVE VOTING RIGHTS



Founder: $30 \times 5 = 150$ votes

Investors: $70 \times 1 = 70$ votes

19 / Hypothetical mechanics only: 30 founder shares with 5 votes each; 70 investor shares with 1 vote each.

Two percentages from the same table

Assume equal economic rights per share. The founder has 30 of 100 shares: 30% of the equity. Voting gives the founder 150 votes and investors 70 votes. The total is 220, so the founder has 68.18% of votes. Neither percentage describes the other. This is an illustration of mechanics, not a ready-to-issue Indian share structure.

Control is still decision-specific

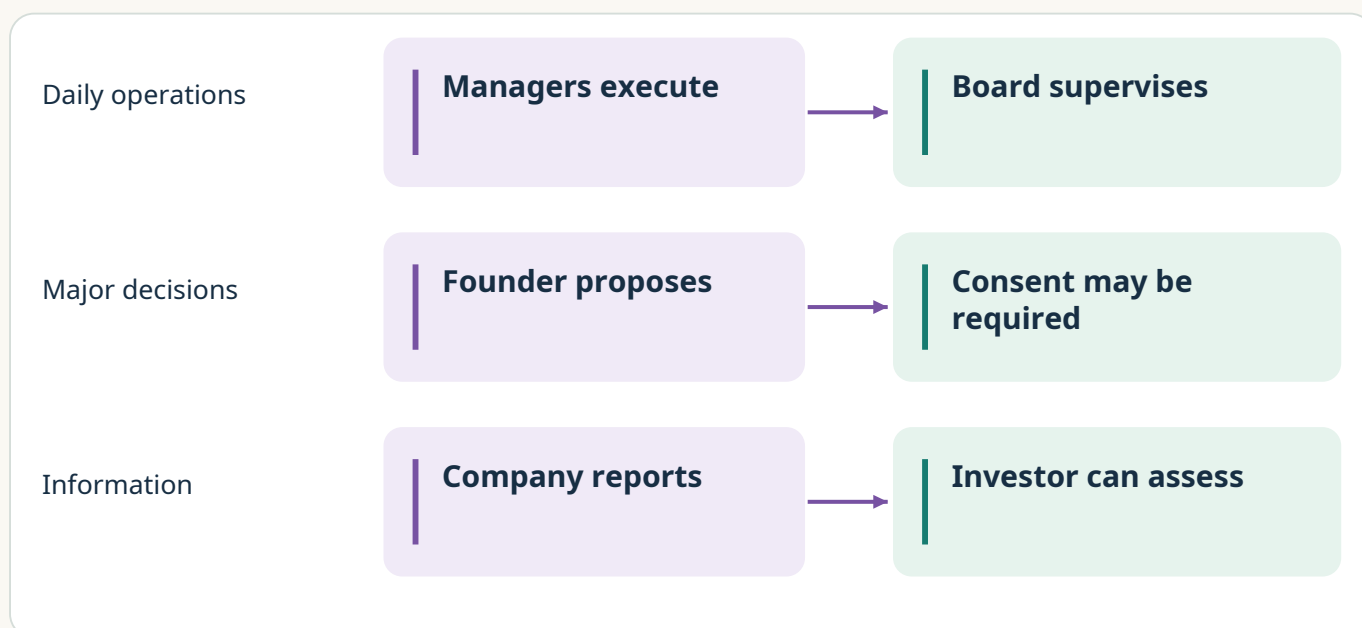
A 68.18% voting block can win a simple majority vote on these assumptions, but cannot alone reach a 75% threshold when all 220 votes count. Investor consent rights may add another condition. Some structures give one class limited votes rather than giving founders multiple votes. The Murdoch example later uses that important distinction.

Economic share: $30 \div 100$. Voting share: $150 \div 220$. State the assumptions before comparing them.

Sources: [4] [7] [8] | Details and links on pp. 35-36.

Why would outside investors agree?

Investors do not always need to run a company to benefit from it. They do need a credible economic case and protections against poor decisions or unfair treatment.



20 / Illustrative negotiation: operating discretion for the founder, specific protections for the investor.

The bargain can be rational

An investor may value a founder's expertise, accept a limited role and expect dividends or a future sale. Price matters: fewer rights can justify paying less. Investors may negotiate information, board representation, consent on major matters, or a way to sell alongside the founder. These terms must fit applicable law and the company's documents.

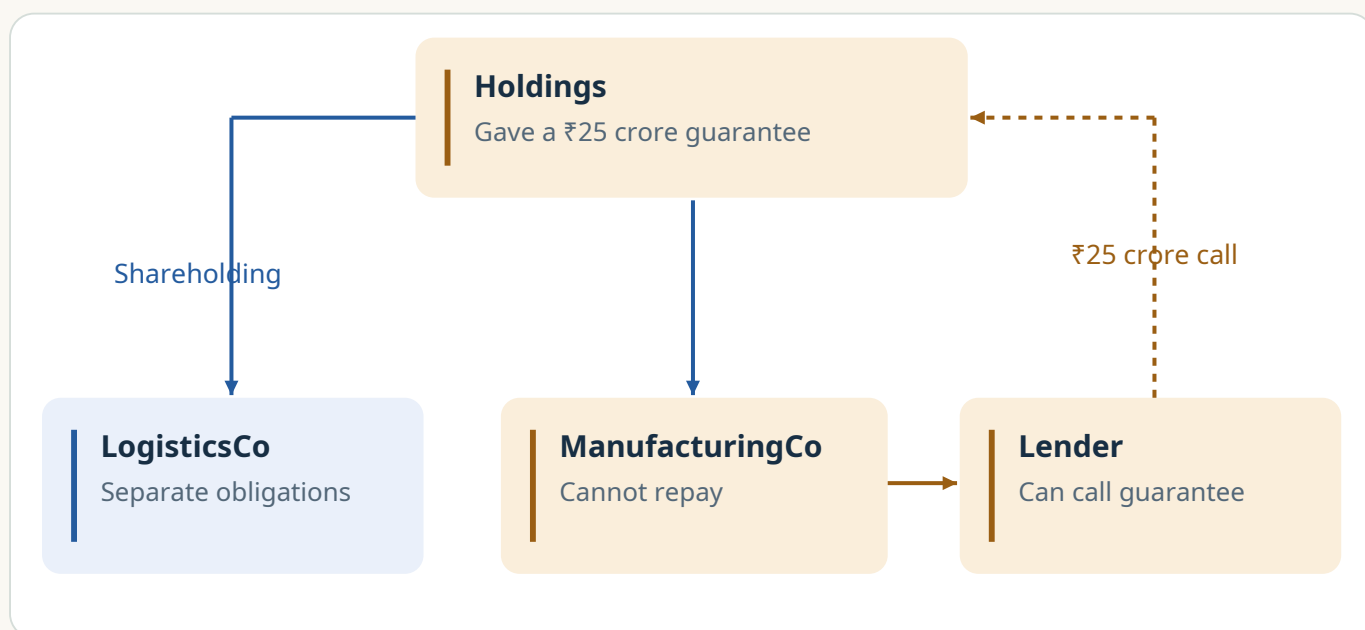
A veto is not the same as management

A veto can stop a specified decision, such as issuing more shares or selling the principal business. It does not necessarily allow the investor to direct daily work. Reserved matters are decisions requiring an agreed additional approval. Too many restrictions can paralyse a company; too few can leave minority owners exposed to decisions favouring the controller.

Good governance balances room to operate with clear limits and meaningful accountability.

When one business gets into trouble

Separate companies help organise risk, but financial promises can connect them. A guarantee is a promise to meet another party's obligation if the agreed conditions for payment are triggered.



21 / Fictional guarantee stress case. The ₹25 crore call is illustrative; actual liability depends on contract and recovery.

Trace the legal exposure

ManufacturingCo cannot repay a lender. If Holdings guaranteed ₹25 crore of its debt, the lender may have a claim against Holdings under the guarantee. Holdings may then need its own cash, asset sales or new funding. LogisticsCo does not automatically owe that debt merely because it is a sister company; separate security or promises would change the picture.

Trace the wider business exposure

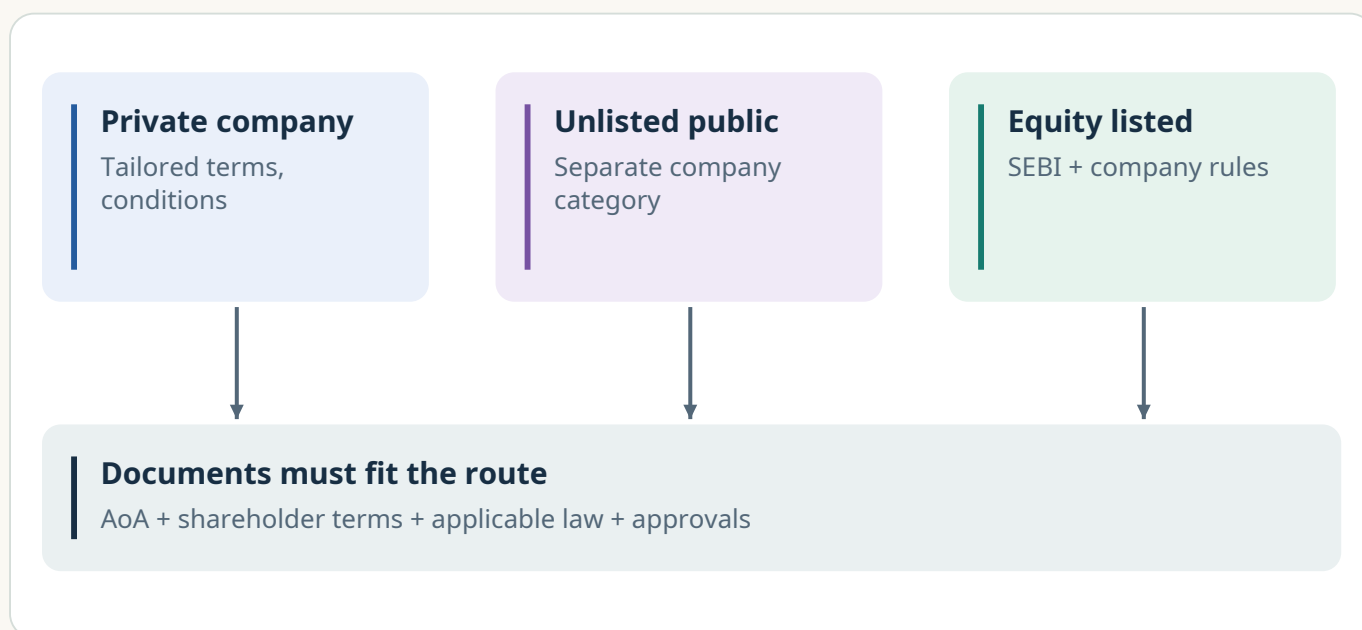
Even without a guarantee, customers, banks or suppliers may lose confidence in related businesses. If founder shares are pledged as security, enforcement can affect ownership and control. Cross-default clauses can make a default under one obligation trigger consequences under another. A group map should therefore show guarantees, security and payment dependencies alongside shareholdings.

Separate legal entities can limit exposure; guarantees, pledges and operational dependence can reconnect it.

Sources: [1] [9] | Details and links on pp. 35-36.

Private and listed are different routes

India allows several company and share structures, with conditions. Private-company flexibility should not be treated as permission to issue any rights to anyone or offer shares to the public.



22 / A route map, not an eligibility checklist. Unlisted public companies form a separate category too.

Begin with the company and its rules

The Articles of Association, or AoA, are a company's internal rules. Section 43 recognises differential equity rights, and Rule 4 sets conditions including a 74% voting-power cap where applicable. Eligible private companies can have relevant exemptions linked to their constitutional documents and compliance. Determine which provisions apply before designing rights or accepting money.

Public funding brings another framework

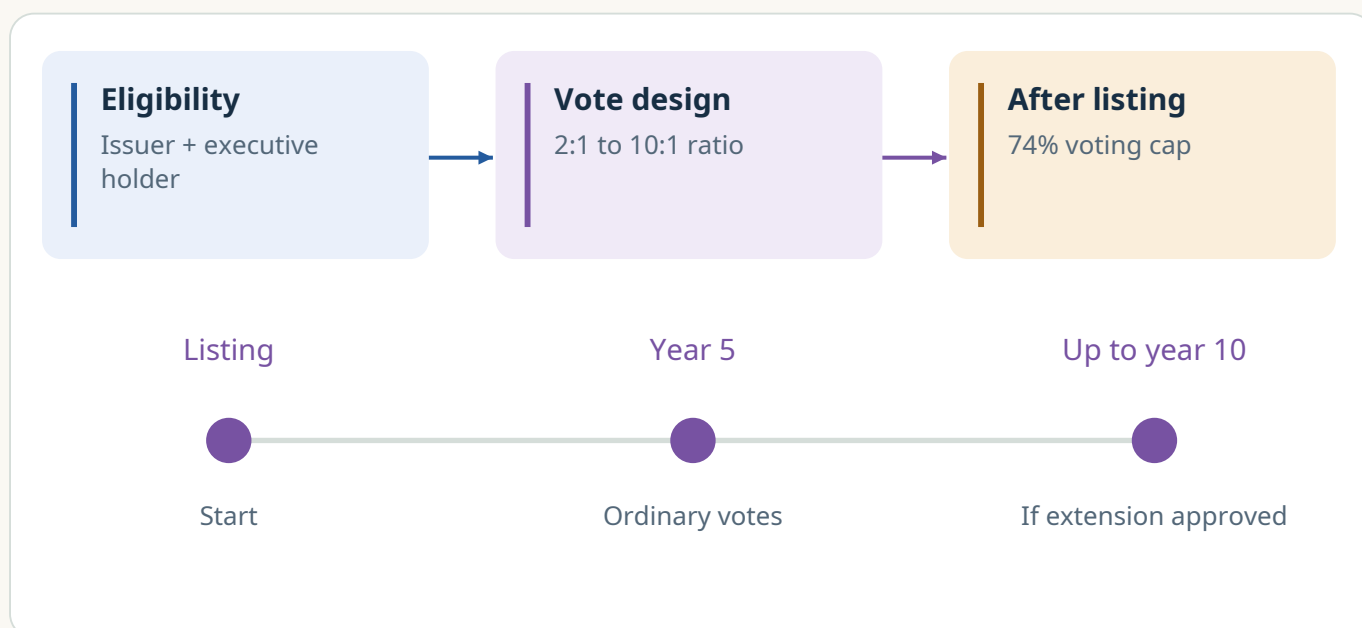
A shareholders' agreement records negotiated rights between parties, but it must work with the AoA and law. Equity listing adds SEBI's offering and continuing requirements. A private company, an unlisted public company and a listed company are not interchangeable. Converting status or preparing for an IPO can require restructuring rights that worked while the company was private.

The same ownership diagram can have different legal consequences depending on company status.

Sources: [1] [3] [4] [7] [8] | Details and links on pp. 35-36.

Superior votes have conditions

SEBI's superior voting rights, or SR, framework is a specific route for qualifying issuers. It is not a general permission for every Indian conglomerate to retain enhanced founder votes forever.



23 / Selected SR rules: ICDR Regulation 6(3) and LODR Regulation 41A. This diagram is not the complete framework.

Eligibility comes before arithmetic

The issuer must meet the qualifying technology-intensive condition. SR holders must be promoters or founders in executive positions. Net worth means assets less liabilities; the prescribed ceiling is ₹1,000 crore, with specific valuation rules and exclusions. Voting ratios run from 2:1 to 10:1 in whole numbers. A family trust or HoldCo cannot be assumed to qualify as the required executive holder.

The advantage is limited

Total voting rights of SR shareholders, including their ordinary shares, cannot exceed 74% after listing. Certain decisions use one vote per SR share. Conversion generally occurs five years after listing; an extension of up to five years requires approval without SR shareholders voting. Death, departure from the executive role and other specified events can trigger earlier conversion.

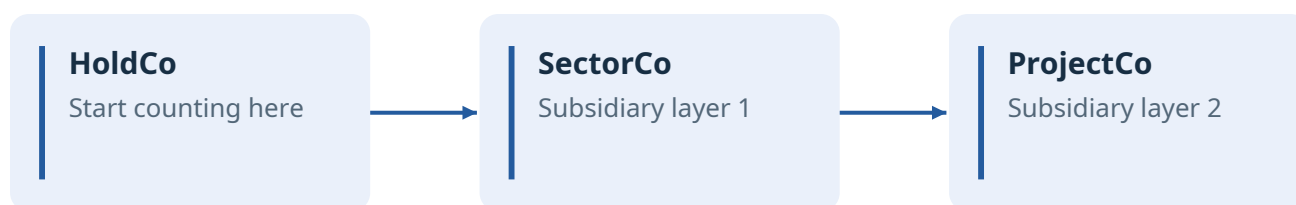
Ordinary majority ownership and enhanced SR votes are different mechanisms; learn which one a group uses.

Sources: [7] [8] | Details and links on pp. 35-36.

Depth and disclosure both matter

An ownership chart must be tested against several legal regimes. Layer limits, beneficial-ownership reporting and regulation of investment companies answer different questions; passing one test does not settle the others.

ONE COUNT: SUBSIDIARY DEPTH



Also examine exemptions, investment layers and CIC rules

24 / Count subsidiary layers from the company being examined. A private trust arrangement is not itself a company layer.

Keep the counting rules distinct

The 2017 subsidiary-layer rules generally allow two layers, with specified exemptions and an exclusion for one layer of wholly owned subsidiaries. Section 186 separately restricts investment through layers of investment companies. RBI's CIC framework can impose further rules on investment-focused groups. A Core Investment Company is a defined regulatory category, not a label every HoldCo automatically acquires.

Look through the registered name

Section 89 deals with differences between registered and beneficial interests. Section 90 and the SBO rules identify significant beneficial ownership, including relevant rights, indirect interests and control. Trust treatment depends on its type and role holders. Do not assume that putting a trustee or another company in the share register conceals the people behind the arrangement.

Use three checks: how deep is the structure, who ultimately benefits or controls, and which regulator applies?

Sources: [1] [5] [6] [9] | Details and links on pp. 35-36.

The business activity changes the rules

Foreign direct investment, or FDI, is cross-border investment subject to India’s applicable framework. The permitted percentage, approval route and other conditions depend on the actual activity and investor.

ACTIVITY	FDI CAP	ROUTE
Digital news / current affairs	26%	Government
News / current-affairs print	26%	Government
News / current-affairs TV uplinking	49%	Government
Non-news TV uplinking / TV downlinking	100%	Automatic

Sector conditions and indirect foreign investment rules also apply.

25 / Selected media policy categories. Government route means prior approval; automatic route still has conditions and reporting.

A top-level investor can matter below

An investment into an Indian holding company may count as indirect foreign investment in downstream businesses under applicable rules. A different name on the immediate shareholder line does not erase sector restrictions. News media and ordinary manufacturing should not be treated alike. Broadcasting also has licensing and management conditions beyond the foreign-investment cap.

Budget for the structure itself

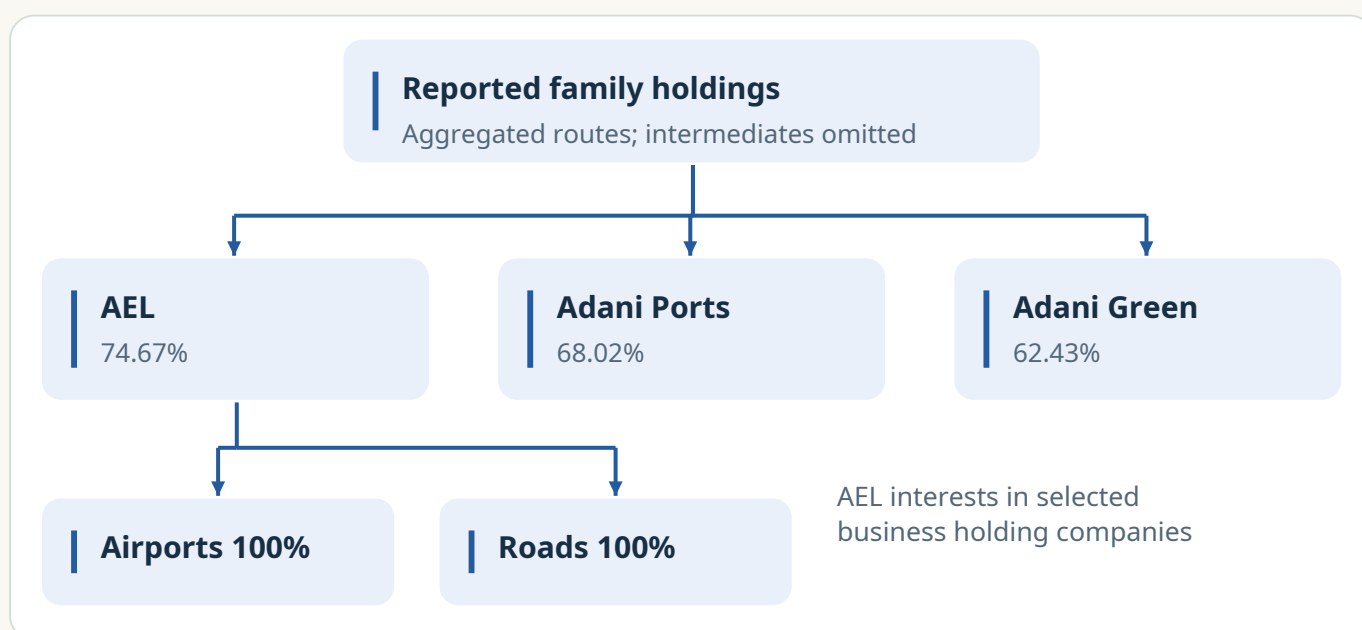
More entities mean more records, approvals, accounts and filings. Transfers of assets or shares, loans, fees, dividends and trust distributions can have different tax consequences. The result depends on the facts and current law; no generic tax saving is assumed here. Before execution, have an Indian lawyer, company secretary and tax adviser review the exact entities, owners, funds and contracts.

Begin with the activity, the investor and the money path; then choose a structure that fits.

Sources: [10] [11] | Details and links on pp. 35-36.

Adani: a portfolio, not one box

Adani's FY2025-26 reporting distinguishes the wider portfolio from Adani Enterprises Limited, or AEL, and the companies beneath it. The map below selects a few relationships to make that distinction visible.



26 / Selected relationships from the FY2025-26 portfolio chart; reported promoter/family holdings as at 31 March 2026.

Read the ownership legend first

The report shows AEL alongside Adani Ports and Adani Green, with different family equity stakes. Under AEL it shows airports, roads and new industries. A separate holding in Adani Ports is not the same as owning it through AEL. The family percentages aggregate disclosed ownership routes; this simplified map does not identify every intermediate promoter entity.

Use the actual entity when analysing

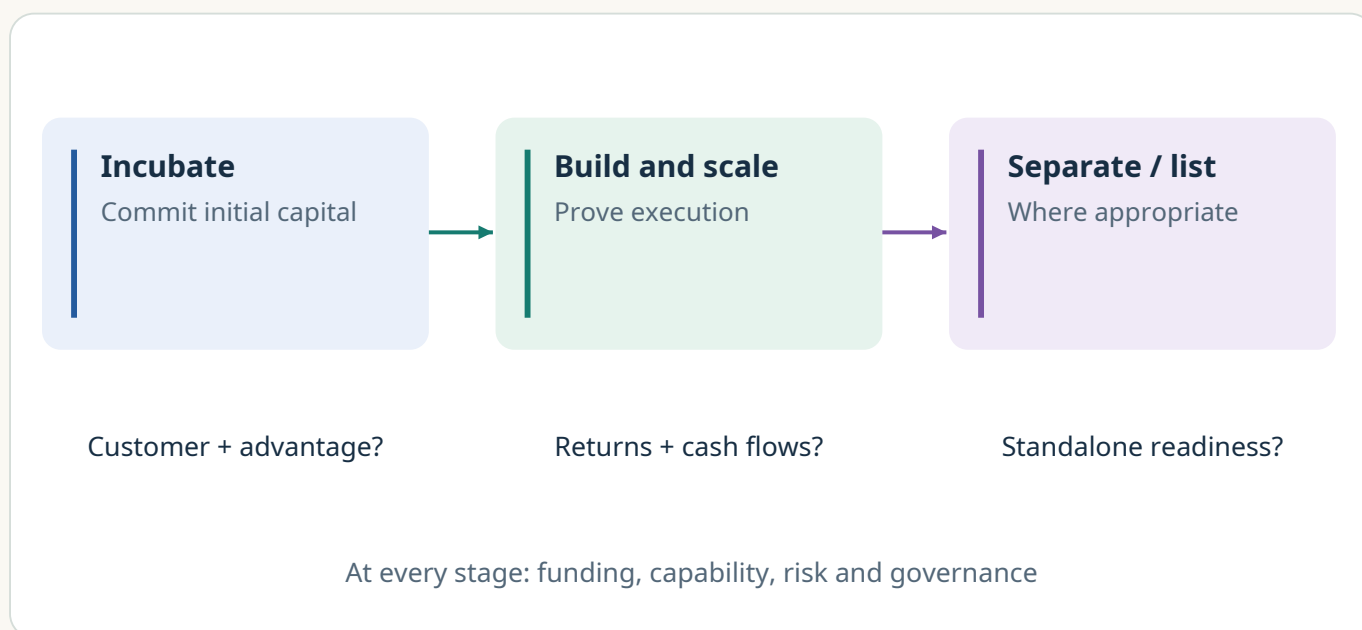
The report's AEL figure is 74.67%, Ports 68.02% and Green 62.43%. The displayed AEL interests in airport and road businesses are 100%. These are dated reported shareholding figures, not a calculation of unrestricted cash or a complete control opinion. Buying AEL shares does not give a direct shareholding in every company using the Adani name.

A portfolio overview is a starting map. Read the relevant company's filings for the precise ownership chain.

Sources: [12] | Details and links on pp. 35-36.

Adani: incubation and expansion

AEL describes its role as developing businesses that can grow to significant scale. Its FY2025-26 report discusses earlier businesses that became separately listed entities. That offers a useful way to understand expansion.



27 / Teaching synthesis of the incubation idea; stages and decisions are illustrative, not a claim that every business follows them.

See the repeated capital decisions

The sequence is to find an opportunity, commit initial capital, build capability and seek further funding as the business develops. A separation or listing may later change where ownership sits. AEL's report identifies Ports, Energy Solutions, Power, Green and Total Gas among earlier demerged businesses. That history helps explain why the current portfolio is not one simple subsidiary pyramid.

Separate strategy claims from outcomes

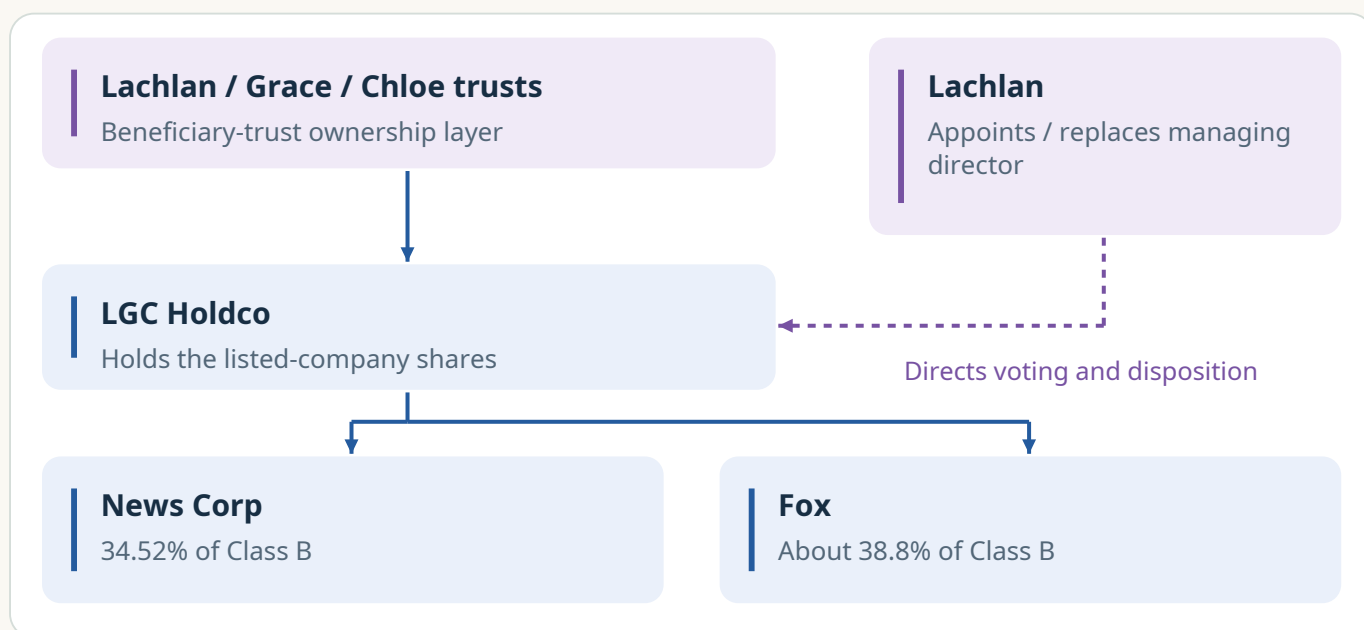
The group describes operating links such as logistics, power and equipment supply across businesses. Such links can create benefits, but their value must be demonstrated with contracts, cash generation and returns. The report is the company's account of its strategy. This guide uses it to explain structure, not to conclude that every expansion earns an adequate return or that the shares are attractive.

The useful question is what each business needs to become self-sustaining, and who funds it until then.

Sources: [13] [14] | Details and links on pp. 35-36.

Murdoch: benefits and votes diverge

News Corp's September 2025 announcement describes new trusts for Lachlan, Grace and Chloe Murdoch above LGC Holdco. The voting arrangement for the shares held by that vehicle gives Lachlan a distinct role.



28 / Simplified post-settlement architecture. The percentage labels refer to Class B shares, not all economic ownership.

The actual ownership layer

The new beneficiary trusts own LGC Holdco, which holds stakes in both News Corp and Fox. News Corp's FY2026 filing reports 34.52% of its Class B shares held by LGC as at 30 June 2026. Fox's FY2026 filing reports approximately 38.8% of its Class B shares. Both report less than 1% of Class A held by LGC.

The actual decision layer

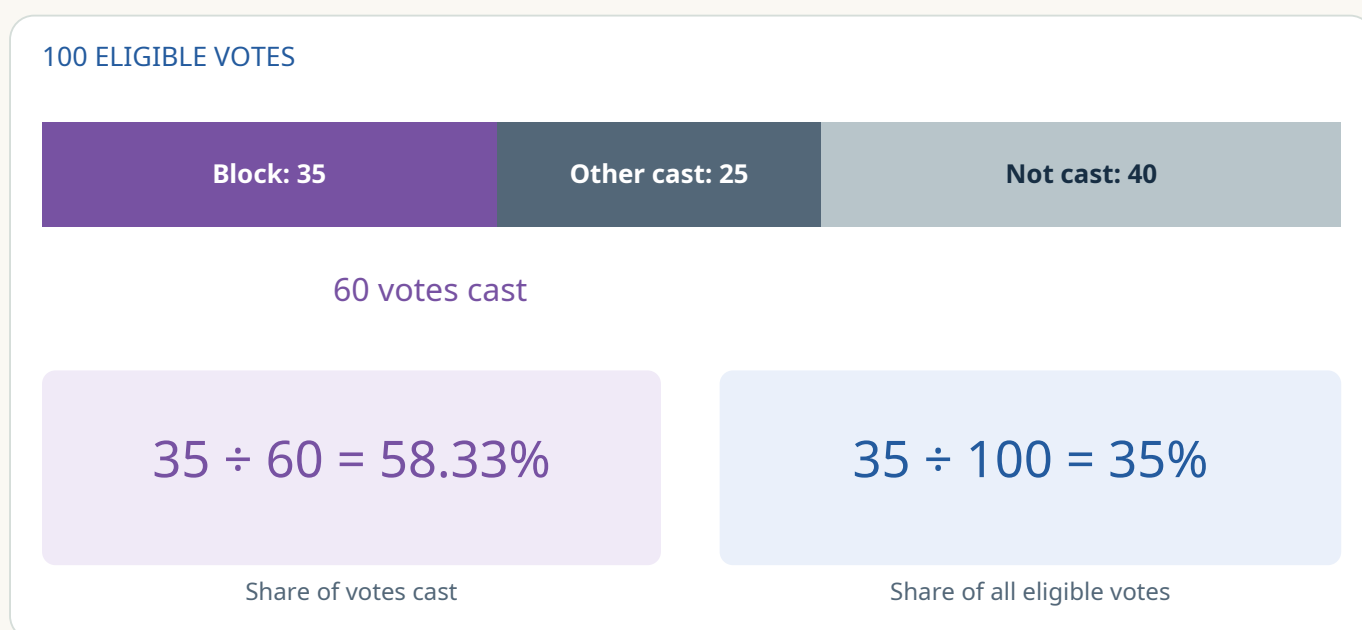
The announced arrangement places voting control of LGC's News Corp and Fox shares with Lachlan through his appointed managing director, with a stated trust term through 2050. That concerns the family vehicle's shares; it is not ownership of every vote in either listed company. The beneficiaries, the holding vehicle and the person directing those votes occupy different roles.

A person can benefit through a trust without individually directing the votes attached to its investments.

Sources: [15] [16] [17] | Details and links on pp. 35-36.

How can a minority block matter?

News Corp and Fox generally give Class B one vote per share, while Class A votes only in limited circumstances. This differs from a design in which each founder share carries ten votes.



29 / Hypothetical turnout example only; these are not actual News Corp or Fox meeting results.

Concentration can create influence

Imagine 100 eligible votes. One organised holder controls 35. If only 60 votes are cast and that holder casts all 35, it represents 58.33% of votes cast. Under a simple majority-of-votes-cast rule it could prevail. But if all 100 vote, 35 is a minority. Abstentions, quorum, director-election rules and particular resolutions can change the result.

What the comparison teaches

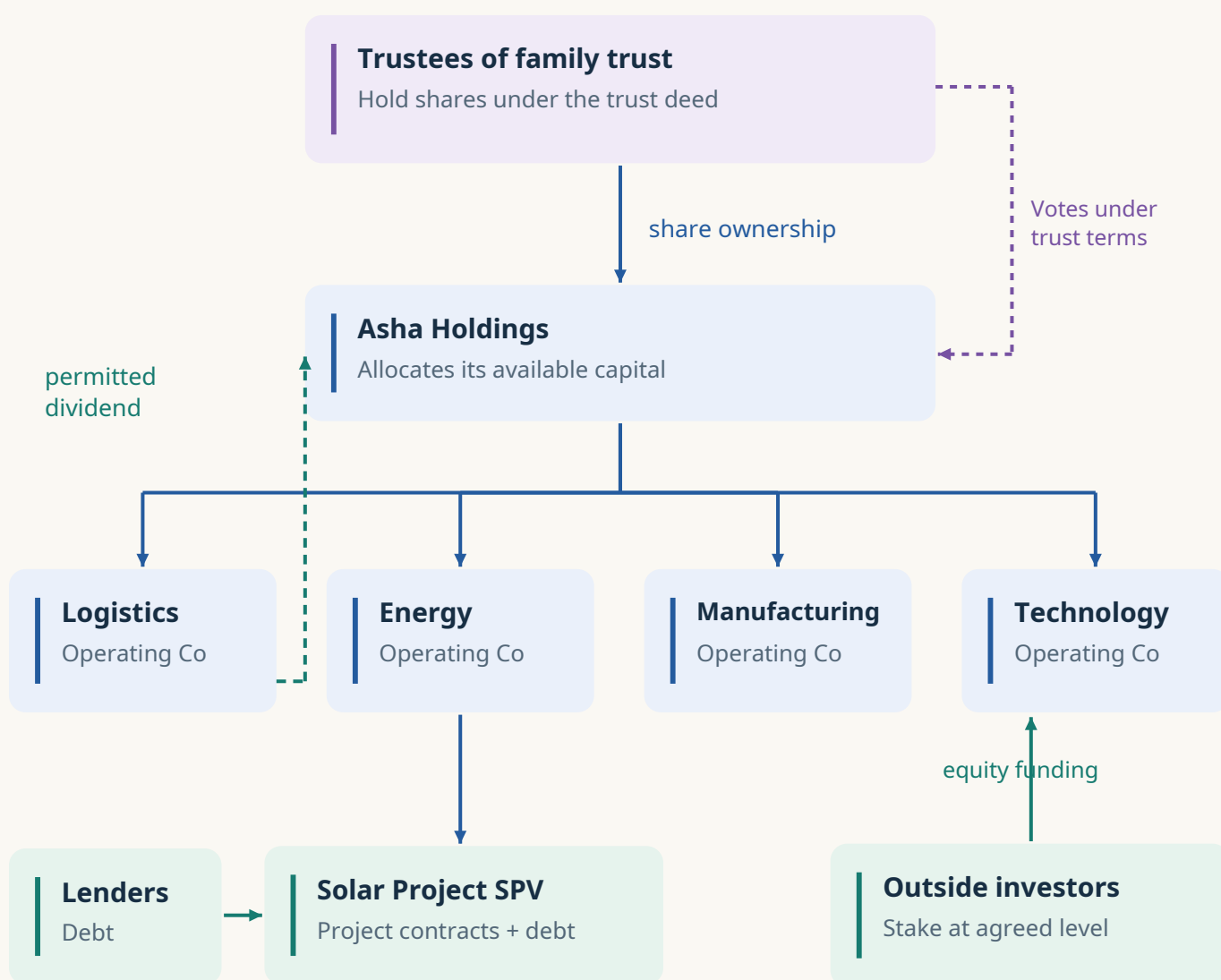
The Murdoch case separates concentrated voting stock from the trust's economic beneficiaries. The Adani example highlights business incubation and distinct listed companies. Neither should be copied as a universal Indian template. Governance rights, market participation and jurisdiction determine what a structure can do. A family HoldCo alone creates no special voting multiplier.

A large minority can be influential. It is not a mathematical guarantee of winning every decision.

Sources: [16] [17] | Details and links on pp. 35-36.

One group. Three paths to trace.

Here is a possible later stage in Asha's story. This combines the ideas rather than prescribing a structure. Shareholders, lenders and trustees each have different rights and responsibilities.



1 Ownership

Which shares are held, by whom, and through which entities?

2 Money

What legal payment takes cash from one box to another?

3 Control

Which person or body can approve this specific decision?

Sources: [1] [2] | Details and links on pp. 35-36.

The words, in ordinary language

These short definitions are a memory aid. The chapter explanations show how each term behaves in context, and the legal meaning can be more specific.

Asset

A resource controlled by a company that can provide future benefits.

Liability

An obligation the company owes to another party.

Equity

The owners' residual interest after liabilities; shares represent ownership rights.

Revenue

Income earned from selling goods or providing services.

Profit

Revenue and other income less expenses under accounting rules.

Cash flow

Money entering or leaving over a period.

Working capital

Resources tied up in everyday operations, such as stock and unpaid invoices.

Dividend

A permitted distribution from a company to shareholders.

HoldCo / OpCo

A company holding investments / a company running operations.

Subsidiary

A company controlled by another under the applicable legal test.

SPV

An entity created for a defined project or purpose.

Promoter

A legally defined person or entity associated with promotion or control; not just a marketer.

Dilution

A fall in ownership percentage when the total share count increases.

Pre / post-money

Agreed equity value before / after a new equity investment.

Debt service

Interest and principal payments due on borrowing.

Covenant

A contractual promise, often restricting financial or business decisions.

Guarantee

A promise to meet another party's obligation under agreed conditions.

Pledge

Security over an asset such as shares, which may be enforced on default.

Trustee / beneficiary

The person holding property under trust duties / the person benefiting.

AoA

Articles of Association: the company's internal constitutional rules.

Reserved matter

A decision requiring a specified additional approval.

IPO / listing

An initial public share offering / admission to exchange trading.

FDI / downstream

Foreign direct investment / investment into an entity farther down a chain.

CIC / SBO

Core Investment Company / significant beneficial owner: defined regulatory categories.

07 / TEST YOUR UNDERSTANDING

Can you explain the money path?

Try these before reading the answers below. If you can explain why each answer is true, you understand the foundations rather than just the vocabulary.

01 / The cash gap

Sales are ₹10 lakh; costs ₹7 lakh. Only ₹6 lakh has been collected and all costs are paid. What are profit and the funding gap?

02 / Two ownership links

Asha owns 60% of Holdings, which owns 60% of LogisticsCo. What is her simplified indirect economic interest?

03 / New investor

There are 100 shares. A company worth ₹4 crore before funding raises ₹1 crore at that price. What does the investor own?

04 / The organised minority

A block holds 35 votes out of 100 eligible. Only 60 votes are cast, including all 35. What percentage of votes cast is the block?

05 / The IPO cheque

Public investors pay ₹50 crore for shares sold by an existing founder. How much fresh cash does the company receive from that sale?

06 / The ownership wrapper

Trustees hold Holdings shares. Does that alone give a beneficiary authority to order a subsidiary's bank to pay them?

Answers and reasoning

01 ₹3 lakh profit; ₹1 lakh cash gap. Unpaid customer invoices explain the difference.

02 36%: 0.60×0.60 . This does not itself settle control or cash available to distribute.

03 20%: 25 new shares out of 125; post-money equity value is ₹5 crore.

04 58.33%: $35 \div 60$. It remains only 35% of all eligible votes.

05 ₹0 from that offer-for-sale portion. The selling founder receives the proceeds.

06 No. Trust terms, shareholder rights and the company's own procedures govern payments.

Sources you can follow

Source numbers in the chapters link here. Click a title to open the underlying text. Research checked on 7 September 2026; real company figures keep their own reporting dates.

[01] Companies Act, 2013

ICSI statutory compilation; relevant sections: 9, 43, 47, 89-90, 123, 166, 179, 185-188. The consolidated e-book provides section text and amendment notes.

[02] Indian Trusts Act, 1882

India Code. Section 3 defines the trust relationship and its roles; sections 11-20 concern trustee duties and powers.

[03] Section 43 and private-company exemption

ICSI statutory e-book: section 43, including the 5 June 2015 exemption note. Private-company exemptions also require the applicable compliance conditions to be checked.

[04] Equity shares with differential rights: Rule 4

ICSI statutory e-book. Includes the 16 August 2019 amendment to the voting-power limit and the remaining eligibility conditions.

[05] Companies (Restriction on Number of Layers) Rules

ICSI rules index, 2017 rules. The 2025 amendment changes Form CRL-1; the main layer rules and their exemptions must be read together.

[06] Significant Beneficial Owners Rules: definitions

ICSI statutory e-book, Rule 2 as amended in 2019. Covers indirect rights, control and trust-specific tracing.

[07] SEBI ICDR Regulations, 2018

Consolidated version amended through 21 March 2026. Regulation 6(3): selected conditions for SR equity shares before an IPO.

[08] SEBI LODR Regulations, 2015

Consolidated version amended through 14 July 2026. Regulation 41A: SR voting cap, equal-vote matters and conversion. Also see governance and related-party provisions.

[09] RBI: Core Investment Companies Directions, 2025

RBI/DOR/2025-26/367; 28 November 2025, updated 10 March 2026. Automated access to the official file was restricted; [matching reproduced text](#) was consulted.

Company evidence and context

Company disclosures support the dated case studies. They are not independent proof of investment merit. Teaching diagrams select relationships and omit detail where explicitly stated.

[10] DPIIT: Consolidated FDI Policy, 2020

Sections 5.2.7-5.2.9 and the indirect foreign-investment framework. Read with subsequent press notes and FEMA non-debt investment rules.

[11] MIB: Uplinking and Downlinking Guidelines, 2022

Ministry of Information and Broadcasting, 9 November 2022. Broadcasting permissions and activity-specific conditions are separate from FDI percentages.

[12] Adani Enterprises: portfolio overview, FY2025-26

Reported portfolio chart, printed p. 9 (PDF p. 2). Percentage and entity relationships in our selected map come from this dated company disclosure.

[13] Adani Enterprises: corporate overview, FY2025-26

The incubation account and earlier demerged businesses appear in the corporate overview, PDF p. 9. This is the company's description of its business.

[14] Adani Enterprises: operating links in the portfolio

FY2025-26 annual-report webpage describing links between logistics, equipment, energy and other portfolio businesses. Reported strategy is distinguished from our teaching inference.

[15] News Corp: Murdoch trust settlement announcement

8 September 2025. New beneficiary trusts, LGC Holdco and the announced Lachlan voting arrangement through the 2050 term.

[16] News Corp: FY2026 Form 10-K

Year ended 30 June 2026. LGC Class B holding of approximately 34.52%; voting/disposition mechanism and capital-stock discussion of share rights.

[17] Fox Corporation: FY2026 Form 10-K

Year ended 30 June 2026; filed 6 August 2026. Reports LGC at approximately 38.8% of Class B; see ownership-concentration risk discussion and capital-stock note.

How to use this guide

Educational, not a personalised legal, tax or investment recommendation. Before a real transaction, verify the current provisions, permissions, documents and professional advice for the exact facts. No tax saving or complete liability shield is assumed.